Flash Memory Scales AI Inference

Investor Day

KIOXIA Holdings Corporation

June 2, 2026

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Agenda

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3. SSD Drives AI inferences	**Masashi Yokotsuka** Managing Executive Officer (Vice President of SSD Division)[1]
4. Advancing Technology Leadership with BiCS FLASH™ generation 10	**Atsushi Inoue** Executive Officer (Vice President of Memory Division)[2]
5. Financial Strategy to Support Our Growth	**Yoshihiko Kawamura** Executive Vice President and Executive Officer (CFO)
6. Q&A	

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1 Managing Executive Officer and Vice President, SSD Division of Kioxia Corporation
2 Executive Officer and Vice President, Memory Division of Kioxia Corporation

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Kioxia's Growth Strategy in the AI Inference Era

Hiroo Ota
President and CEO

I am Hiroo Ota, President and CEO. Thank you for taking the time to join our Investor Day today.

The rapid proliferation of generative AI is bringing a seismic shift to our industry.

Today, I would like to outline our strategy for how we—as a provider of the flash memory that underpins the data infrastructure of the AI era—will meet market demands and achieve sustainable growth throughout this transformative period.

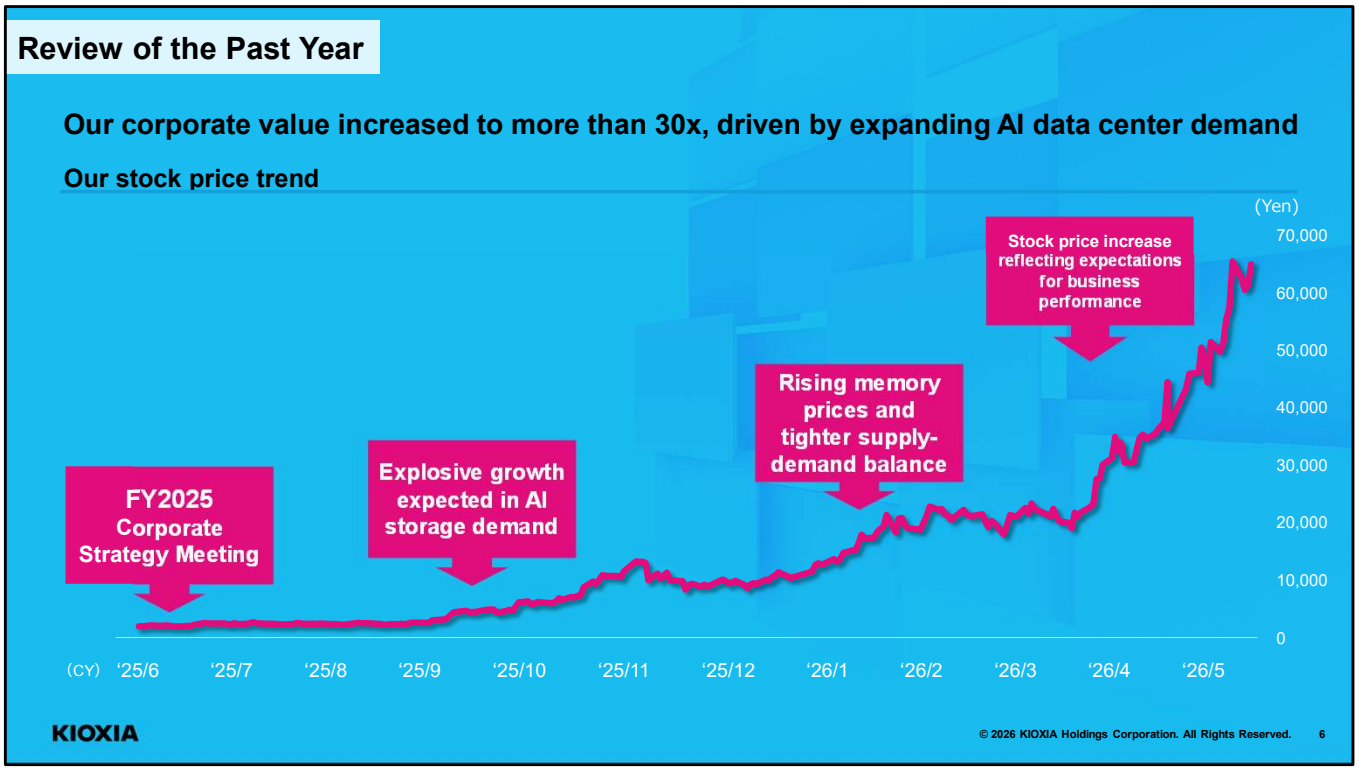
Agenda

- **Expanding the Role of Flash Memory in AI Inference**
- **Focusing on the Data Center and Enterprise Markets**
- **Growth Investments to Further Enhance Corporate Value**

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I'll be explaining the following points.

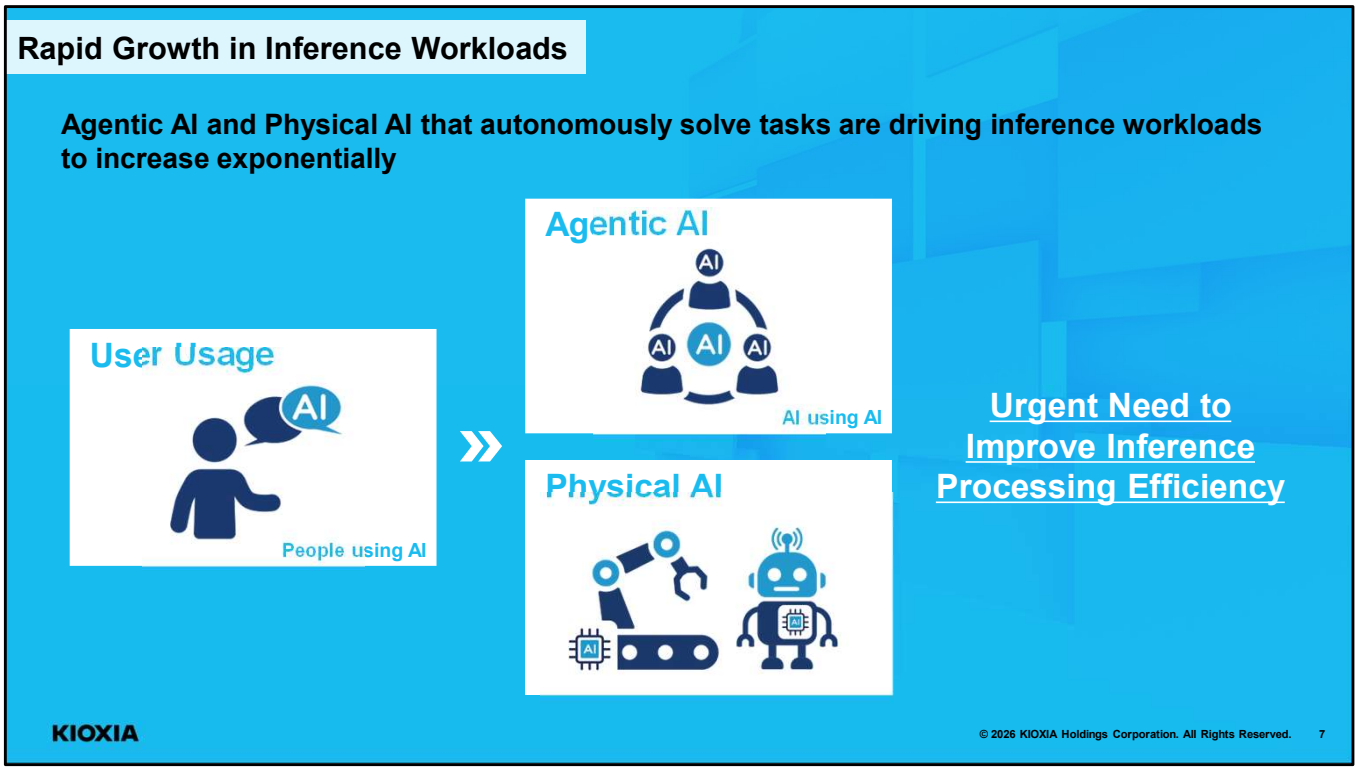


At last June's Corporate Strategy Meeting, we shared our projection that flash memory would evolve from being a simple data repository into a critical component that dictates the performance of entire AI systems.

Over the past year, this projection has materialized as tangible demand. We interpret our current share price as a clear sign of the capital market's recognition and trust in our strategy to effectively capture this AI-driven demand.

This growth is underpinned by rising data center investments since 2024. Most notably, as the use of generative AI started to shift from 'training' to 'inference' in the second half of 2025, the vital role of storage has been strongly reaffirmed.

Consequently, demand for AI-focused data centers is expanding robustly, and the flash memory market is thriving. We anticipate this favorable environment will persist through 2027.



Starting from the second half of 2025, the AI landscape is transitioning from a 'training' phase, focused on building Large Language Models (LLMs), to an 'inference' phase, where these models are implemented in real-world applications.

Furthermore, AI is evolving from a mere 'tool' used by humans into 'autonomous agents'—exemplified by Agentic AI and Physical AI—that can autonomously reference data and achieve specific objectives. We anticipate this trend will trigger an explosion in the volume of inference processing.

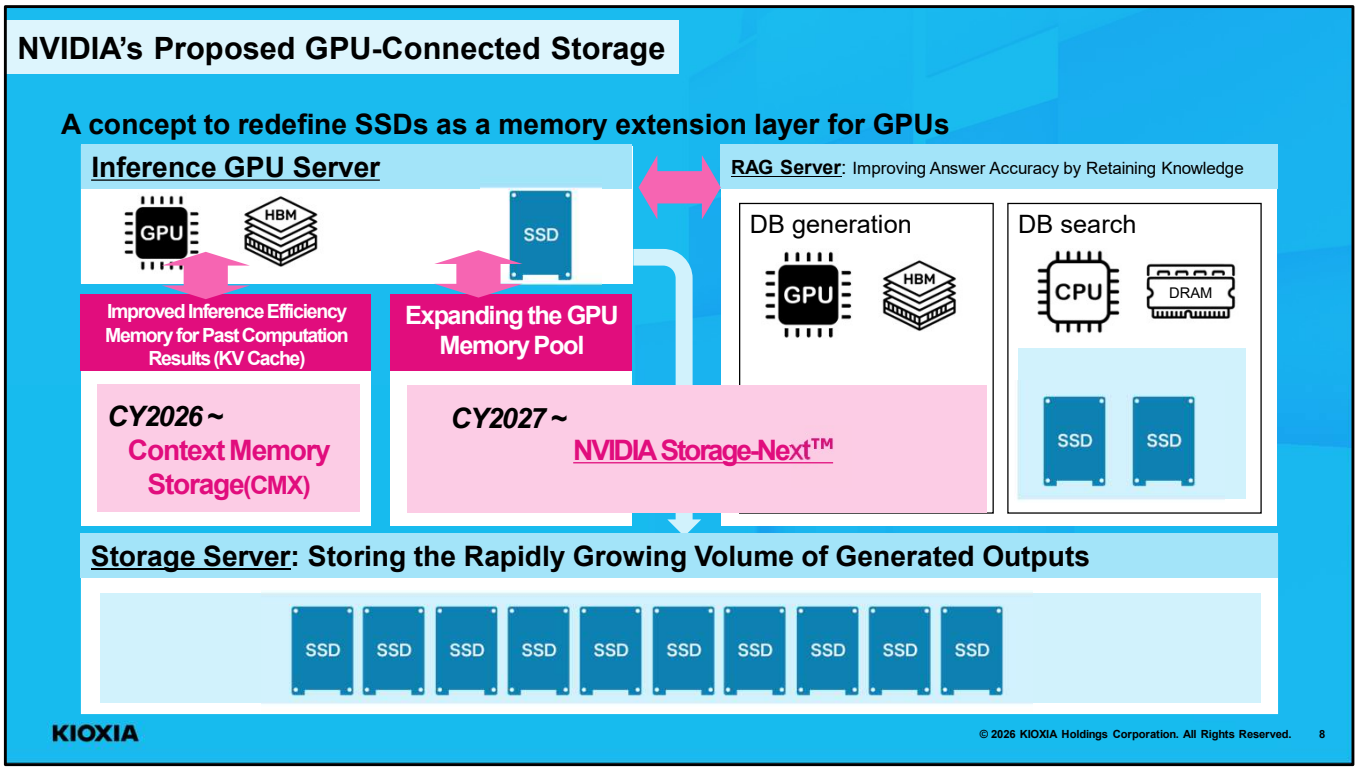
In this inference phase, calculation speed, data processing capacity, and Total Cost of Ownership (TCO)—including power consumption—become paramount. The key is how to execute these massive inference tasks both economically and efficiently.

To that end, technologies such as Retrieval-Augmented Generation (RAG), which leverages external knowledge, and KV Caching, which reuses previous inference results, are advancing at a rapid pace.

However, it will be difficult for High Bandwidth Memory (HBM) alone to meet the massive memory demands generated by these advancements.

This is especially true as AI applications expand into the 'edge' domain, where local data processing is a prerequisite. Consequently, the importance of low-power, high-speed storage has never been greater.

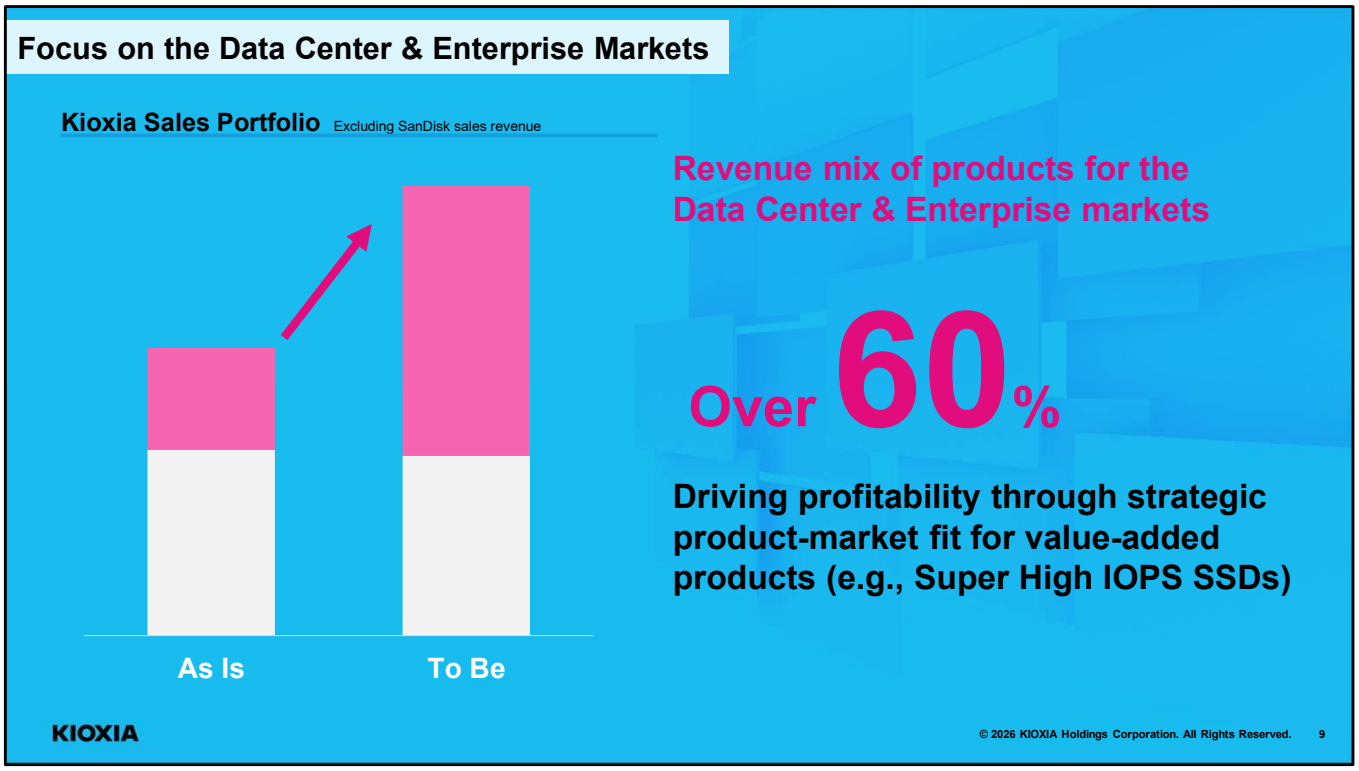
We believe flash memory is the only storage medium capable of meeting these diverse market demands and economically scaling inference systems from a total cost of ownership perspective.



Driven by these trends, discussions involving the entire ecosystem are intensifying around the realization of next-generation AI-native storage. At the heart of these discussions is our key partner, NVIDIA, who are proposing a vision to redefine storage—not as a mere storage device, but as an extended memory tier for GPUs.

This vision is embodied in initiatives such as 'CMX (Context Memory Storage Platform),' which utilizes SSDs as a memory tier to record previous calculation results (KV Cache) for improved inference efficiency.
Another example is 'NVIDIA Storage-NextTM,' where SSDs are used as extended memory in RAG servers that store external knowledge to enhance response accuracy. Furthermore, we anticipate an accelerating increase in the volume of generated results stored on storage servers.

What these developments signify is that, alongside GPUs and HBMs, storage has become a core component that determines the performance of AI systems.
As specialists in flash memory and SSDs, we will actively propose a wide range of technologies and solutions for these initiatives, leading this AI paradigm shift together with our partners.

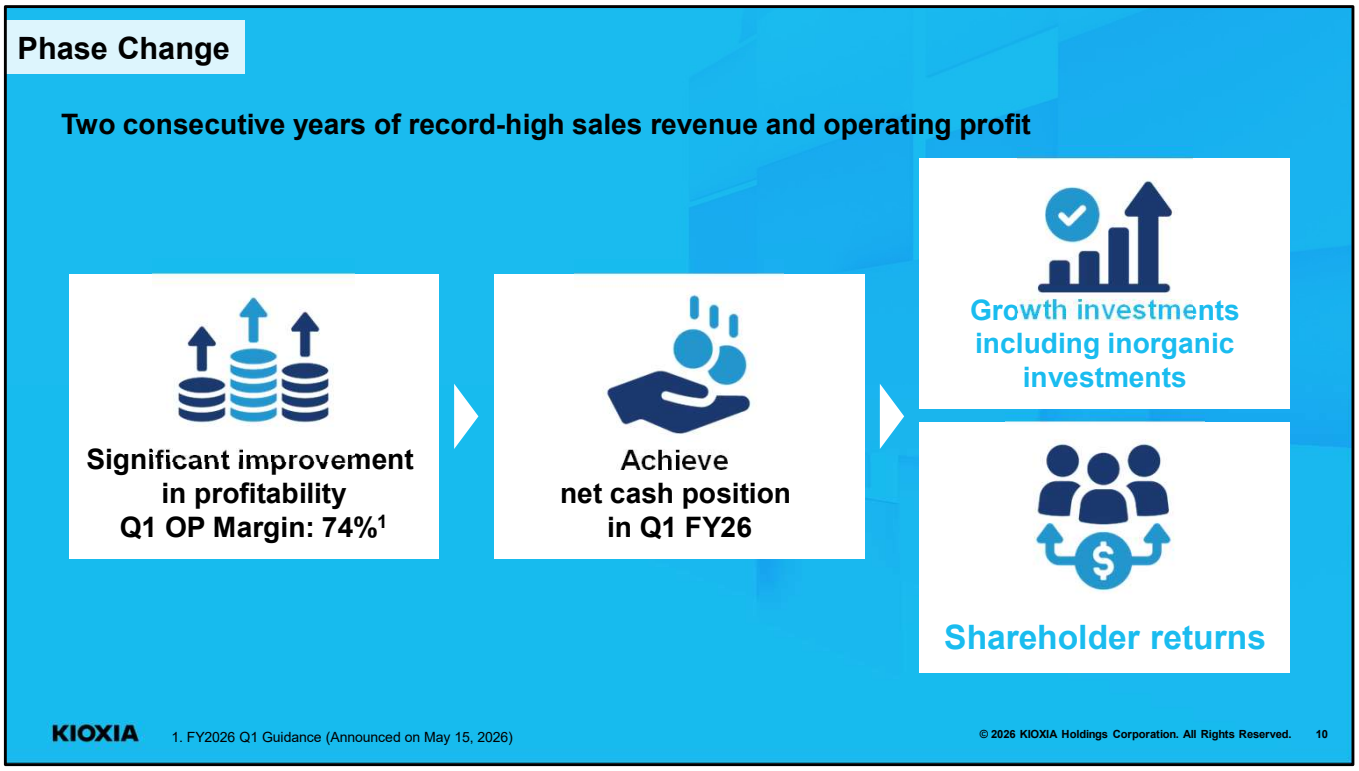


To capture the opportunities brought about by these structural changes in the market, we plan to make a strategic shift in our business portfolio.

First and foremost, we will focus on our Data Center and Enterprise business. Over the medium to long term, we aim to raise this segment's share of our overall revenues to over 60%.

While maintaining and enhancing our competitiveness in standardized products, we will expand our offerings of high-value-added products—exemplified by Super High IOPS SSDs—that directly help improve the efficiency of AI systems, thereby driving improved profitability.

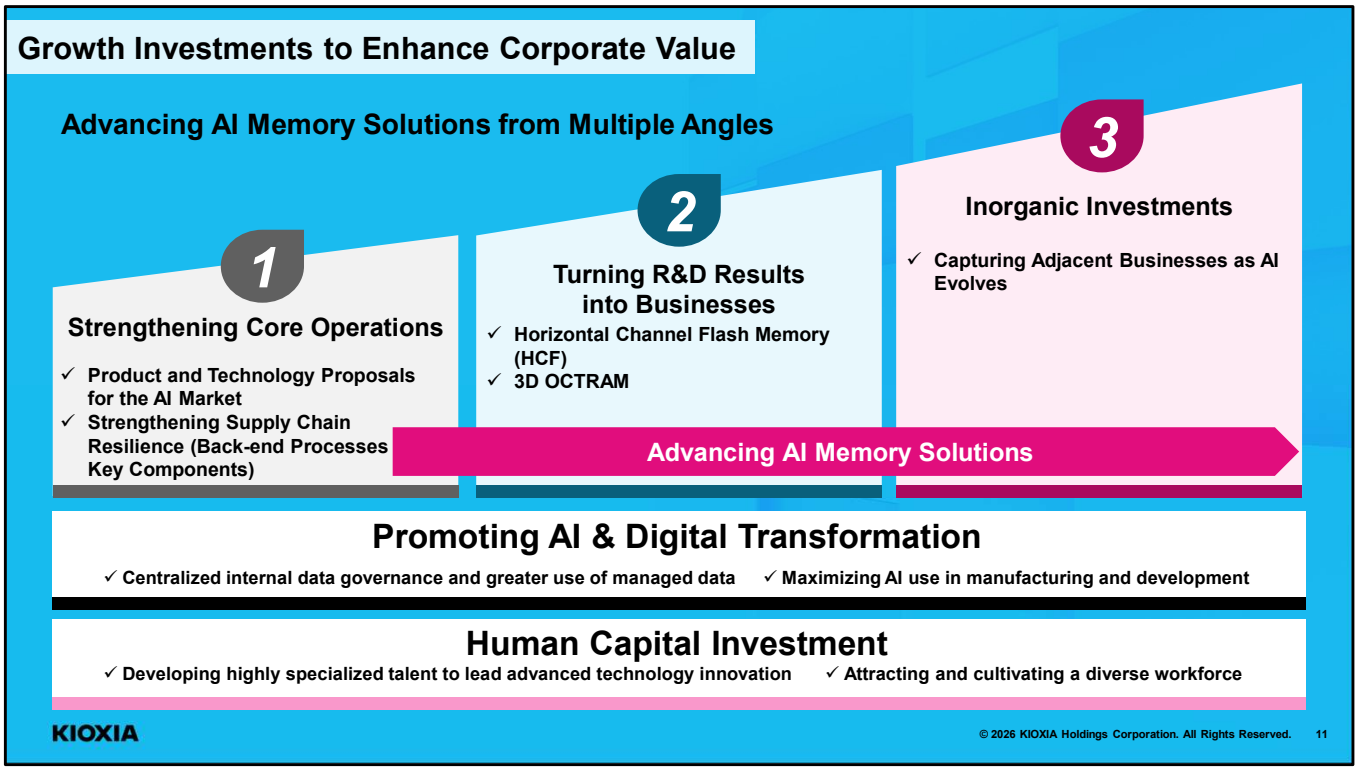
In our core smartphone and PC segments, we will maintain our revenue scale, positioning these as an unwavering foundation for our business.
Building upon this solid base, we will expand our market development efforts targeting the edge AI segment, where we foresee significant growth.



I am pleased to report that, for the second consecutive year, we have achieved record highs in both revenue and operating profit.

We expect to maintain this high level of profitability in fiscal 2026, and our Q1 guidance projects a OP margin of 74%.

The repayment of our interest-bearing debt is progressing smoothly, and we anticipate achieving a net cash position by the end of the first quarter.
In light of this improved financial health, we are actively considering shareholder returns for fiscal 2027.



The funds generated will be allocated toward strategic investments for the future, alongside shareholder returns.

First and foremost, as a provider of the flash memory and SSDs that form the backbone of AI infrastructure, we must resolutely ensure we continue to deliver optimal technologies and products to the market in a timely manner. We will advance the implementation of our technologies through partnerships with our customers. Simultaneously, as the procurement environment becomes increasingly uncertain, we will focus on building a resilient supply chain to ensure the reliable delivery of our products.

Our second priority is the commercialization of our R&D achievements. At the research level, we have successfully demonstrated the operation of Horizontal Channel Flash (HCF) memory as the next evolution beyond our vertically stacked BiCS architecture, paving the way for the future advancement of 3D flash memory. We will continue to evaluate fundamental cell characteristics to verify its feasibility.

Furthermore, at IEDM 2024, we announced the development of OCTRAM (Oxide-Semiconductor Channel Transistor DRAM) technology utilizing vertical transistors made of oxide semiconductors. At last year's IEDM, we presented an evolution of this: a highly stackable oxide-semiconductor channel transistor technology in a 3D architecture. We are committed to driving this development forward, exploring commercialization while assessing market viability and mass-production readiness.

Moreover, as AI evolves, the required memory solutions must also evolve. We will explore strategic acquisitions to broaden our capabilities into domains that extend beyond flash memory alone.

People are the foundation of this growth. We will train highly skilled professionals to support the technological expertise required to succeed in intense global competition, and create an environment where diverse talent can thrive.
Also, we are accelerating digital transformation and the use of AI across our entire organization. Just as we enable AI infrastructure for our customers, we will lead by example by integrating AI deeply into our own operations to drive efficiency and innovation.



Moving forward, we will bring our technological expertise to the forefront. By co-creating the next generation of AI capabilities alongside our customers, we will expand our role as a vital provider of data infrastructure.

We are not merely a component supplier. At the core of AI infrastructure, we are driving the next technological paradigm shift. We remain committed to meeting market demands and enhancing our corporate value.

We look forward to sharing our future successes with you as we continue to grow. Thank you very much for your time and attention today!

Flash Memory Market and Resource Allocation

Junichiro Yaguchi
Managing Executive Officer (Chief Strategy Officer)

I’m Junichiro Yaguchi, Chief Strategy Officer.

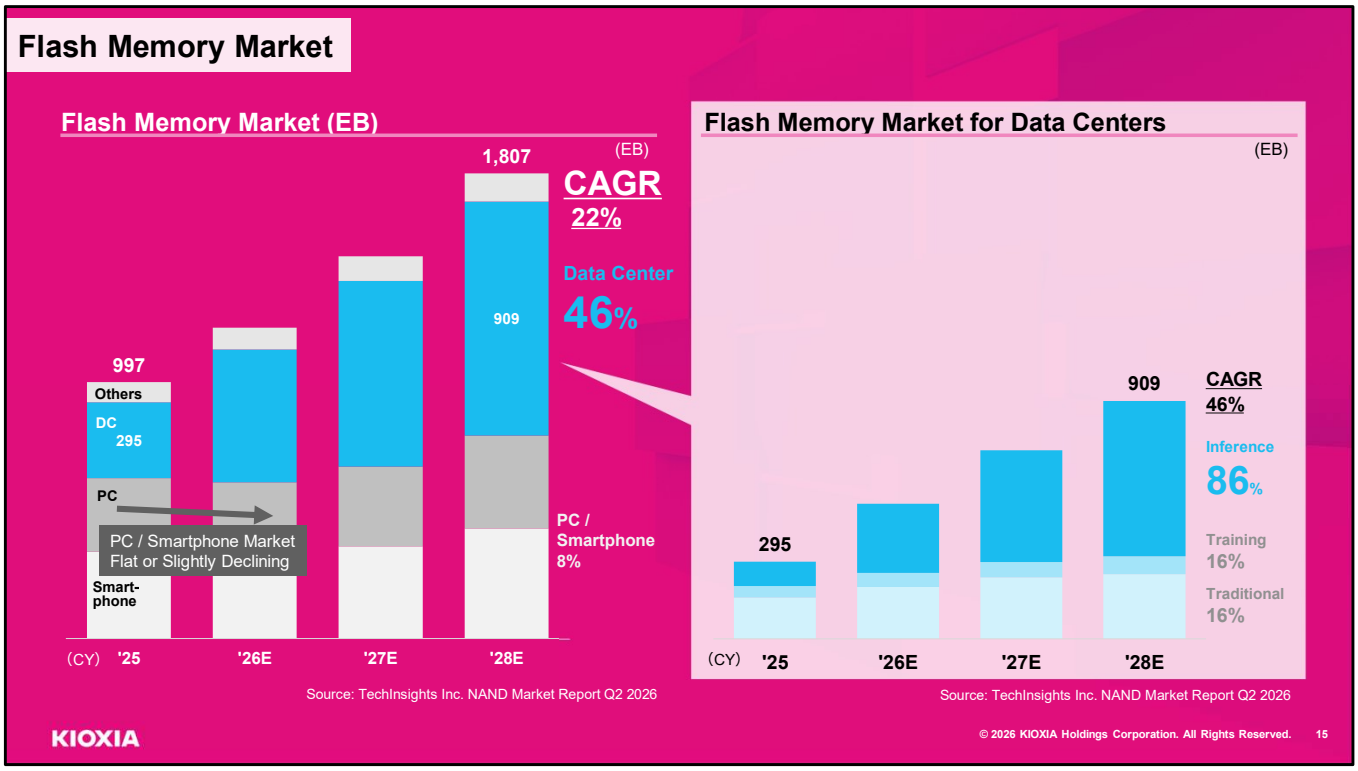
Agenda

- **Strong Demand and Growth Opportunities Driven by AI Inference**
- **Resource Allocation Policy**

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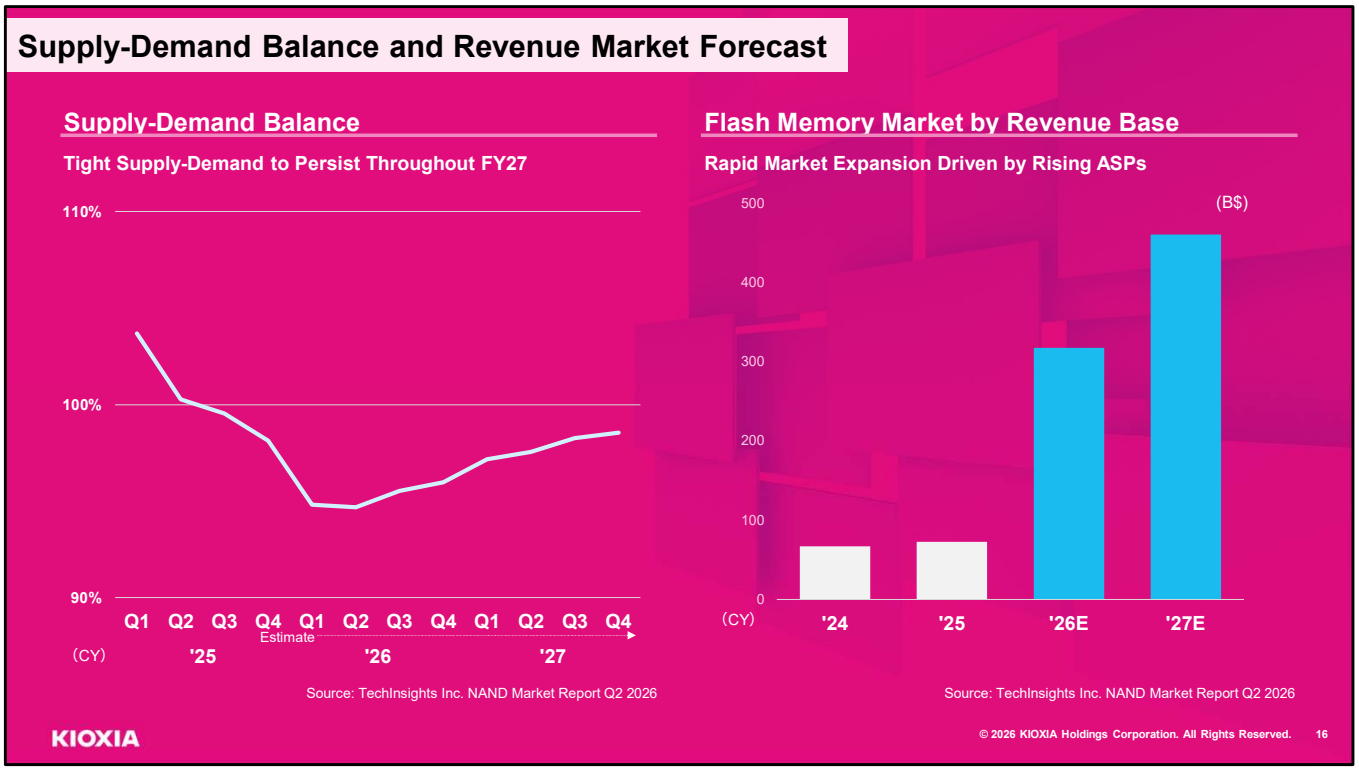
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I’m going to cover the outlook for the flash memory market, our resource allocation, and our investment strategy.



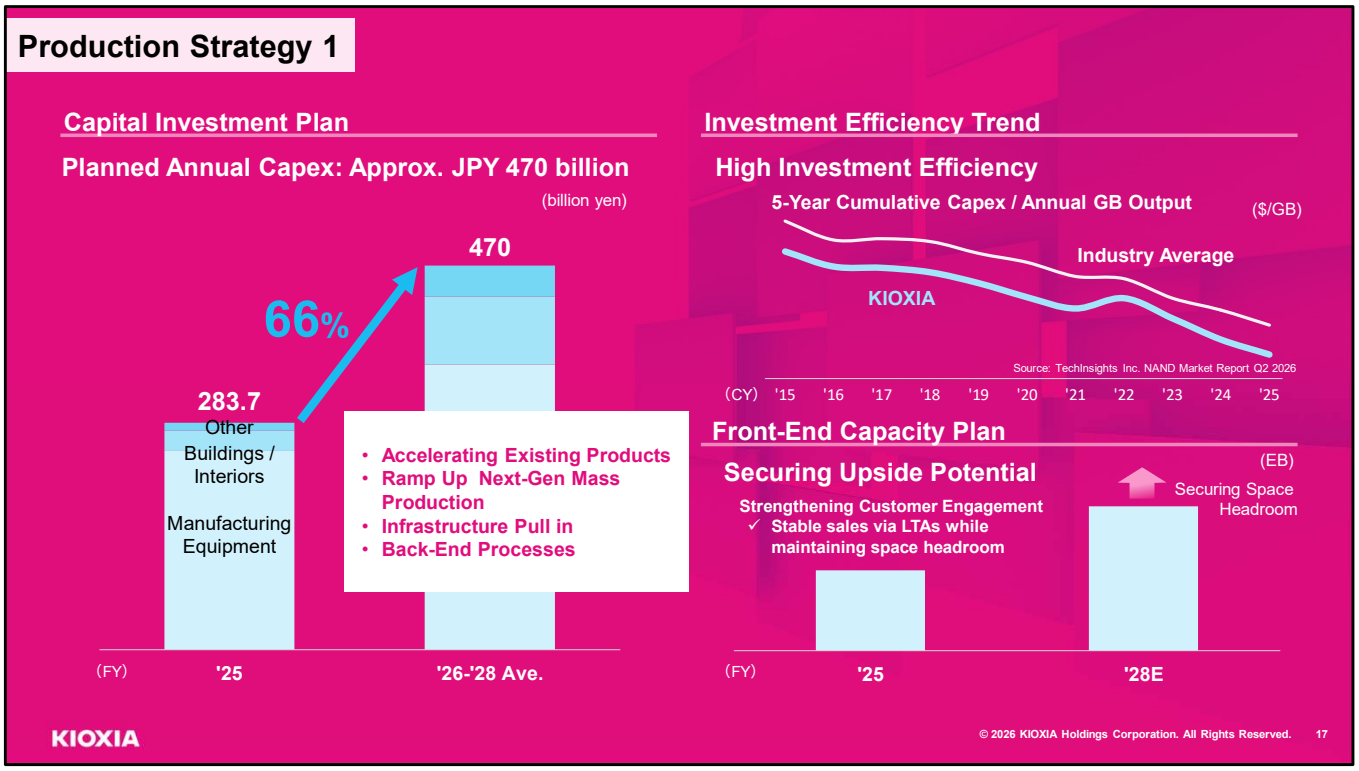
First, let me outline our bit growth outlook for the NAND flash memory market.
The Compound Annual Growth Rate (CAGR) through 2028 is projected to be slightly over 20%. Notably, datacenter demand is expected to grow significantly, by 46%, with increasing AI server capacity driving market expansion. Within this segment, inference AI applications will serve as a primary growth catalyst, and are likely to achieve an estimated CAGR of 86%.

On the other hand, near-term storage demand for smartphones and PCs is undergoing a minor adjustment phase, with some forecasts projecting a slight decline this year.
Although the demand environment varies by application, we are focusing sharply on the expanding AI and datacenter SSD markets.
To meet this increased demand and achieve sustainable growth, we will accelerate our capital expenditure and R&D.



Next, let's look at the supply and demand balance and the size of the NAND market. The former is expected to remain tight throughout CY2027, driven by strong demand for AI data centers and constraints on NAND supply.

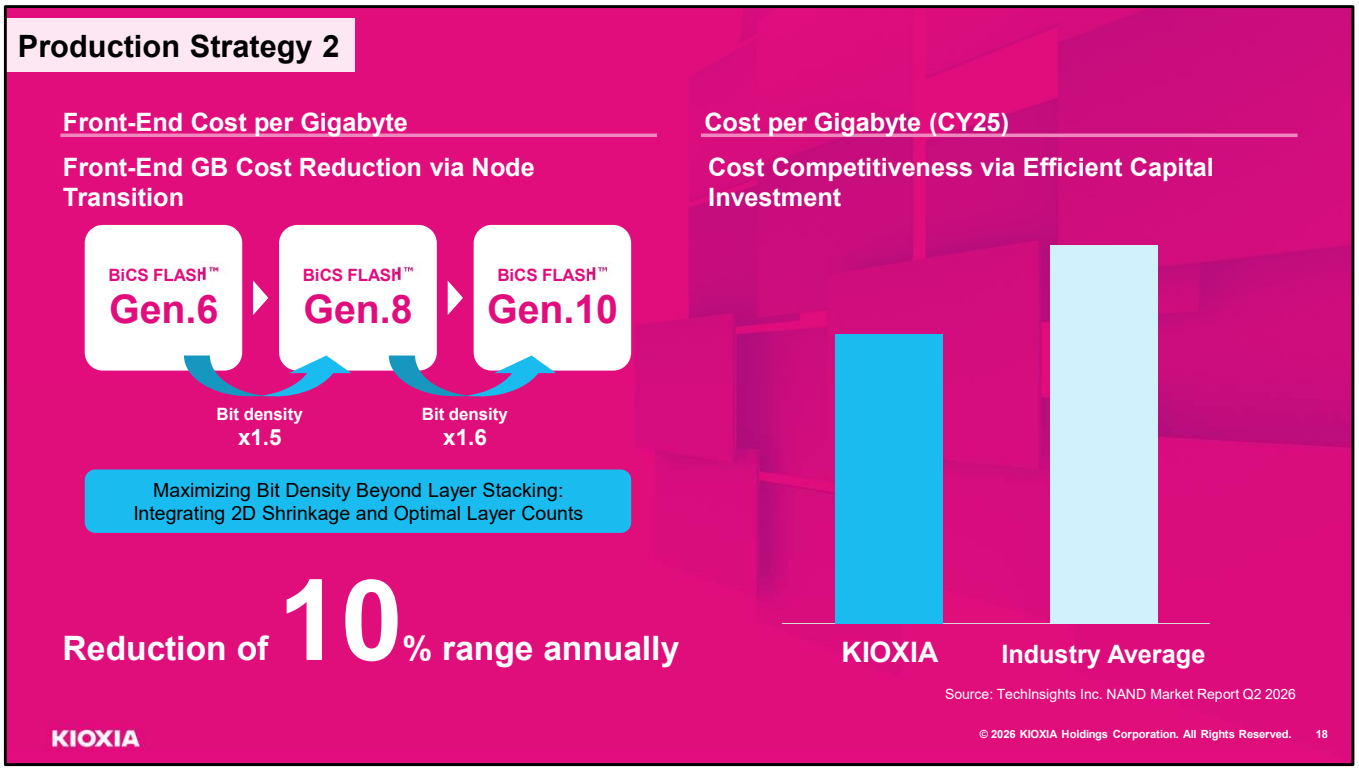
Furthermore, NAND prices are on an upward trend. Several research firms estimate that the revenue of this market will be approximately four times larger in 2026 compared to 2025, with this trend projected to continue into CY2027.



In response to the expansion of the NAND market driven by AI and datacenter demand, we currently plan our annual capital expenditure to average approximately 470 billion yen over the next three years. This represents an increase of roughly 60% compared to FY2025.

This figure includes not only investment in production equipment but also in cleanroom interiors and infrastructure. It incorporates medium- to long-term investments designed to secure upside flexibility by expanding our available space.

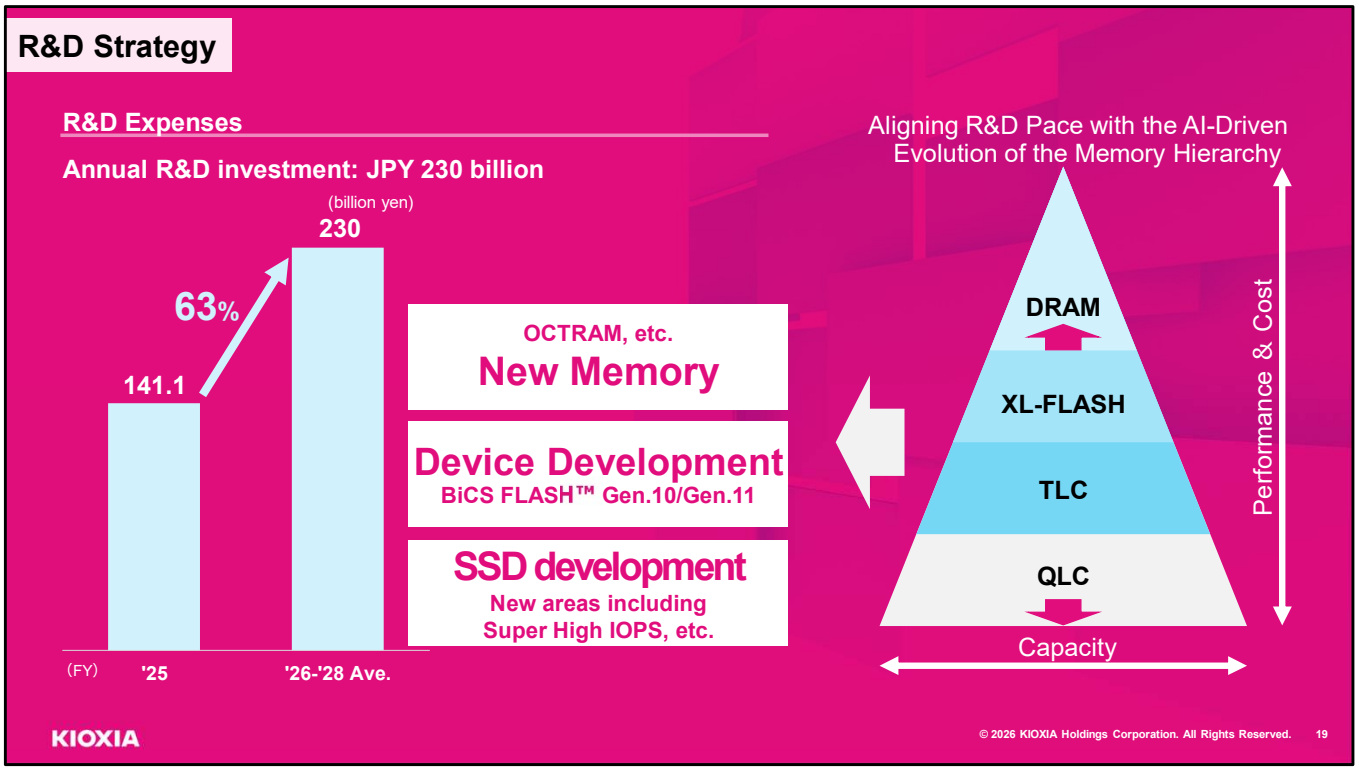
Leveraging customer commitments, including Long-Term Agreements (LTAs), we will establish a supply framework to support stable demand. Furthermore, we will continue to maintain higher capital efficiency than the industry average, executing disciplined investments.



We are targeting an average annual reduction in front-end cost per gigabyte(GB) in the 10% range. Through the migration of BiCS FLASH™, we have factored in bit density improvements of 50% or more per each new generation.

During transitions between product generations, we don’t base our key performance indicators solely on the layer count; rather, we plan to achieve competitive cost reductions by pursuing the optimal mix of 2D shrink (lateral scaling) and layer count.

We will cover this point in further detail later. Through efficient capital expenditure and by leveraging our world-leading economies of scale, we have maintained a lower cost per gigabyte than the industry average, and we intend to sustain this competitive advantage in the future.



Research and development is the source of our competitive strength.
Over the next three years, we plan to increase our R&D investment by 60% over FY2025 levels, bringing it to approximately 230 billion yen annually.
Furthermore, we are progressing development tailored to specific memory hierarchy in order to deliver the distinct performance characteristics demanded by AI and data centers.

We are allocating R&D investment to the development of 10th- and 11th-generation BiCS FLASH™ as next generation products following 8th-generation BiCS FLASH™.
In SSDs, our key focus area, we are targeting investment specifically at areas that will help speed up the launch of new storage architectures, including our Super High IOPS SSDs.
Additionally, for new memory devices, we will accelerate development at our Frontier Technology R&D Institute to improve the characteristics of OCTRAM devices, and facilitate decision-making around commercialization of these.

In addition, although not listed here, we are planning to establish the tentatively-named “Kioxia College” at our Shin-Koyasu Technology Front campus, our R&D hub.
This initiative, which we plan to launch by the end of FY2027, is part of our commitment to boosting the development and cultivation of our researchers and engineers.
Thank you very much for your attention.

SSD Drives AI Inference

Masashi Yokotsuka
Managing Executive Officer (Vice President of SSD Division)

I’m Masashi Yokotsuka, Head of our SSD Business Unit.
In this section, I will discuss our initiatives in the AI field in the context of our SSD business.
We view the rapid advancement of generative AI and agentic AI as a critical growth opportunity, and we are boosting our development efforts across both our SSD product portfolio and our software solutions.

Agenda

- **Achievements from FY2025**
- **Challenges Faced by Growing Inference Systems**
- **New Uses of SSD Created by Inference AI Systems**
- **Our Latest SSD Lineup to Solve Scaling Challenges in AI**

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Here is the agenda for today's presentation.

First, I will review our key achievements and performance from fiscal year 2025.
Next, I will discuss the emerging challenges associated with AI inference systems as they become increasingly commercialized and widely adopted.
Then, I will highlight the new applications for SSDs that are being unlocked by these cutting-edge AI inference systems.
Finally, I will introduce Kioxia's comprehensive SSD portfolio, which is designed to fully address and support all of these new applications.

Achievements from FY2025

Ultra Large Capacity SSD KIOXIA LC9 Series



~245.76 TB

Powering Generative AI with
Ultra High-Capacity SSDs

Software for Improving Inference Accuracy and Speed KIOXIA AiSAQ™

NVIDIA. Milvus KIOXIA

Enhancing RAG Accuracy: Constructing Large-Scale Vector Databases
on SSDs for Rapid Searches
Accelerating indexing with GPUs through Integration with NVIDIA cuVS.
Quick deployment
using the open-source vector database Milvus

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Looking back, fiscal 2025 was a year where we achieved significant progress in our generative AI systems businesses. We successfully capitalized on this wave of growth, with our products being adopted by a broad range of customers, primarily in the data center, enterprise, and PC segments.

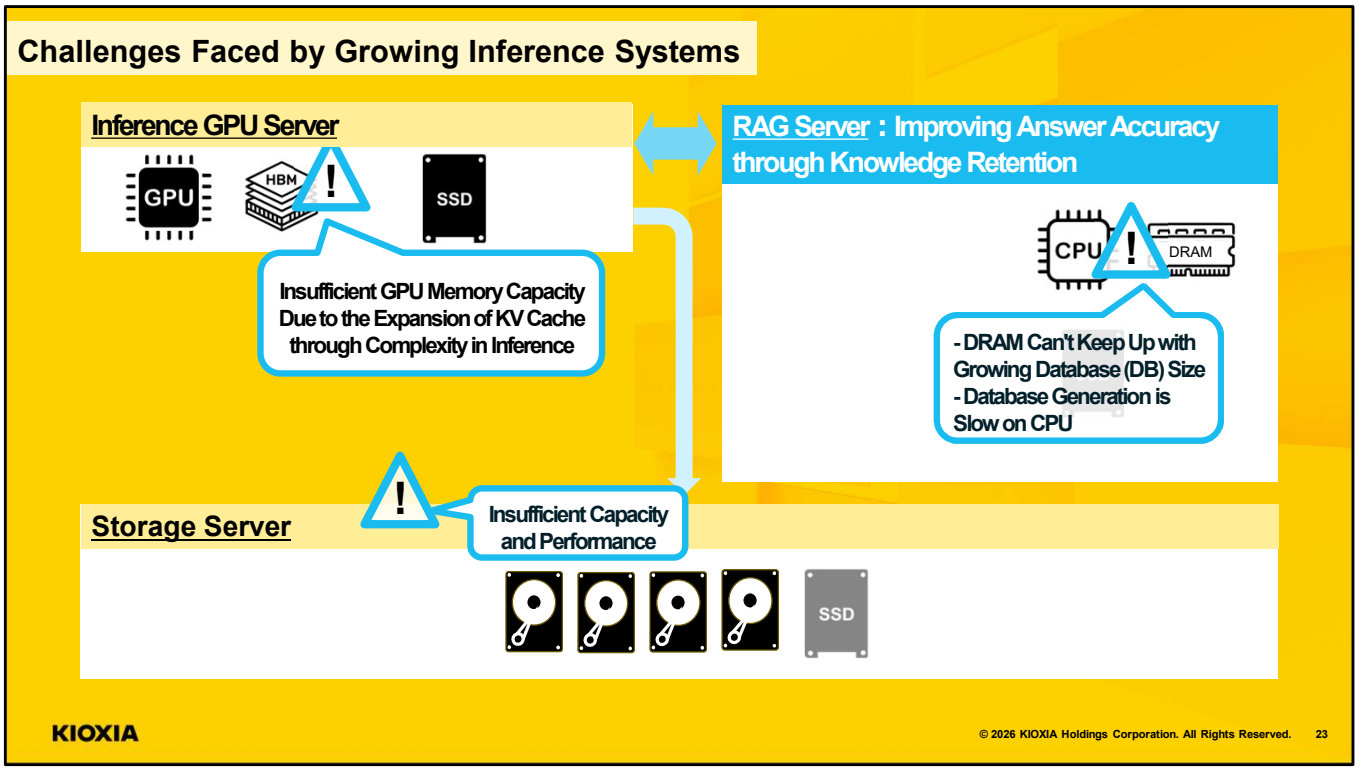
The first of these was our high-capacity SSD, the LC9. Offering an industry-leading capacity of 245TB, this product is designed to meet the rapidly expanding demand for AI data storage. It has already completed evaluation and validation with key customers and is now being rolled out to the market.

The second is our open software solution, KIOXIA AiSAQTM. As generative AI moves into practical application, the adoption of RAG (Retrieval-Augmented Generation) is expanding rapidly.
Previously, a major challenge was that vector databases—which are critical for response accuracy—were constrained by DRAM capacity and CPU performance limits. The software effectively utilizes SSDs and GPUs to significantly alleviate these constraints, enabling high-speed, cost-effective processing of vector data on a scale of billions.

By integrating with 'Milvus', a leading open-source vector database, we enhance both the practicality and adoption of our technology.
Additionally, we have leveraged the software library 'NVIDIA cuVS', which enables high-speed processing of vector databases through GPU acceleration. This collaboration allows us to construct databases with billions of vectors and achieve indexing speeds up to approximately 20 times faster than using only CPUs.

Through these initiatives, we position KIOXIA AiSAQ™ as a crucial technology that significantly improves the scalability and practicality of generative AI infrastructures. We are advancing integration with various ecosystems.

Driven by these achievements, fiscal 2025 was a year of steady progress in our efforts to keep pace with the evolution of AI infrastructure, allowing us to build a solid foundation that will support our future growth.



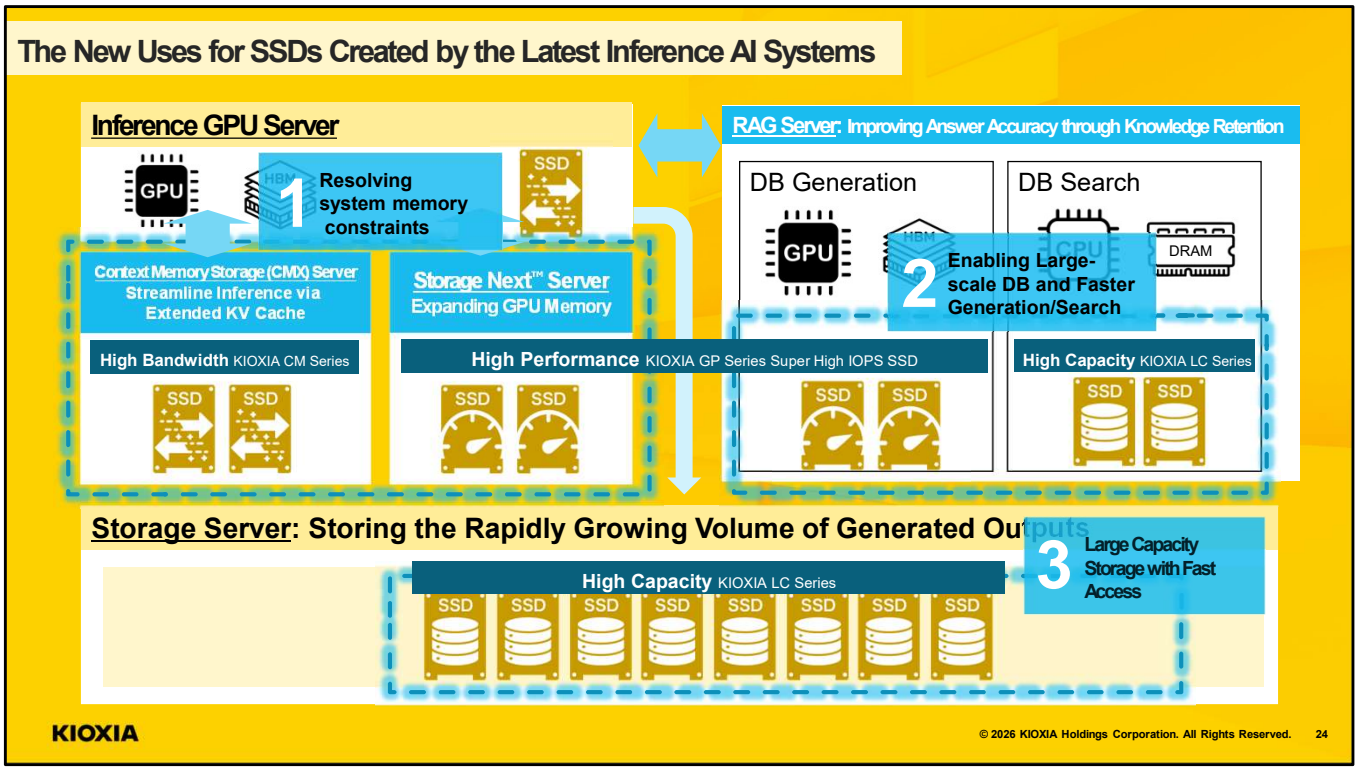
Next, regarding the emerging challenges of growing AI inference systems, this section outlines the system architecture of conventional inference AI and the challenges that are emerging as it evolves.

Traditional inference AI systems primarily perform a simple process: executing a single inference in response to a user's prompt and returning an answer.
Therefore, a configuration combining inference servers equipped with GPUs, basic RAG, and standard storage is sufficient.
The volume of data handled and the frequency of access remain relatively limited, and the demands on storage performance are not particularly high, allowing for the use of HDDs for cold data.

However, with the rapid evolution of AI, this premise is fundamentally changing. In the case of agentic AI, the system autonomously repeats inferences multiple times, advancing processes while continuously interacting with external tools and other AI models.
Consequently, the system load increases exponentially.

A critical bottleneck in this new paradigm is the KV cache. As inferences become continuous and multi-stage, the context expands rapidly, making it impossible to hold the entire KV cache within the GPU memory alone. This leads to increased cache evictions and reloads, resulting in memory throughput and storage performance becoming the primary bottlenecks impeding overall inference efficiency.

Furthermore, regarding RAG, the expansion of data scale and the surge in access frequency make it difficult to manage with capacity-constrained DRAM or slow storage like HDDs.
In this way, the evolution of AI is significantly elevating the performance requirements of the entire system, necessitating advancements not only in computational power but also in storage capabilities.



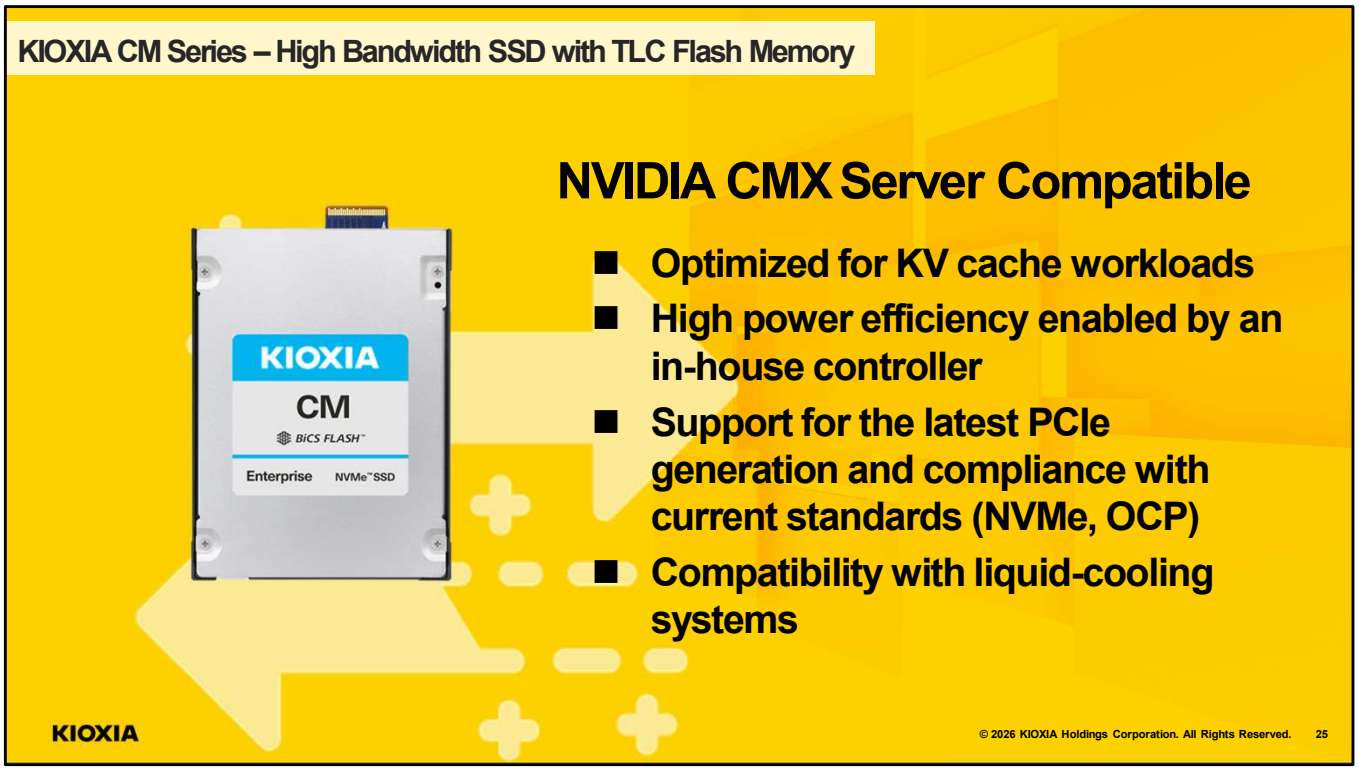
Next, regarding the new applications for SSDs unlocked by these cutting-edge AI inference systems, this section details how the latest AI server technologies are addressing these challenges.
Currently, various solutions for inference AI are being proposed, notably by industry leaders like NVIDIA. The common denominator among all these approaches is the critically important role played by SSDs.

The first point is addressing the lack of capacity of GPU memory, particularly HBM. In agentic AI, KV caches multiply rapidly and exceed the internal capacity of the GPU. To counter this, Context Memory Storage (CMX) technology expands the cache onto high-speed SSDs to maintain inference efficiency. Furthermore, NVIDIA Storage-Next™—advanced architecture that bypasses the CPU—enables GPUs to directly access SSDs, achieving an effective expansion of memory capacity.

The second point is the evolution of RAG servers. While high-speed search is essential for handling large-scale, up-to-date data, DRAM capacity has traditionally been a limiting factor. Today, the utilization of high-performance, high-capacity SSDs is successfully balancing scalability with cost-efficiency.

The third point is the transformation of storage servers. As data volumes surge alongside the widespread adoption of generative AI, high-capacity SSDs are becoming increasingly vital as the foundational infrastructure for delivering high deployment density and high throughput.

Building on these developments, next-generation AI systems will achieve comprehensive system optimization by combining the externalization of KV caches via CMX framework, high-speed processing through NVIDIA Storage-NextTM, and large-scale RAG that is independent of DRAM capacity utilizing KIOXIA AiSAQTM.
Ultimately, these new inference AI architectures are designed to resolve the structural challenges brought about by the evolution of AI, with SSDs positioned firmly at their core.



From here, I would like to introduce our product portfolio designed to cover these new applications for SSDs.
As I have outlined, the advancement of agentic AI is driving an exponential increase in both data access volumes and processing density within inference AI systems. Consequently, data transfer performance between the GPU and storage—namely, bandwidth—has become crucial. To utilize storage not merely as an auxiliary space, but as an integral part of the effective memory hierarchy, storage solutions with high throughput and low latency are absolutely essential.

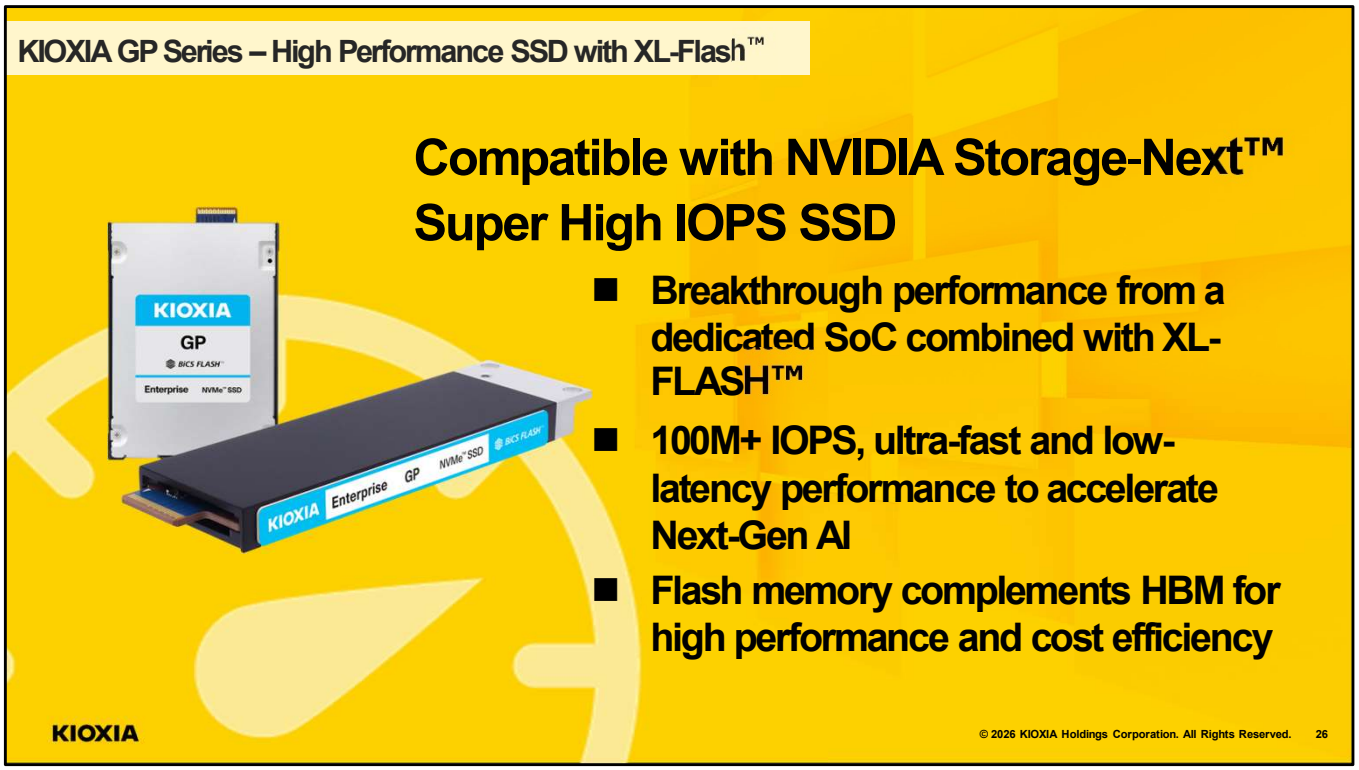
To meet these exacting requirements, we offer the CM Series, high-bandwidth SSDs equipped with TLC flash memory.

The CM Series is fully compatible with CMX framework and is specifically architected to optimize KV cache applications. Incorporating our most advanced NAND flash memory allows it to achieve even greater capacities than previous generations, and to efficiently retain and utilize the massive amounts of data generated during the prolonged, multi-stage inferences characteristic of agentic AI.

Furthermore, the adoption of our in-house developed SoC (System on a Chip) solution delivers superior power efficiency, directly contributing to the optimization of overall power consumption in data centers. In addition, its support for the latest PCIe generation and compliance with cutting-edge standards such as NVMe™ and OCP ensure seamless integration into advanced AI infrastructures.

Crucially, the CM Series is also compatible with liquid cooling systems, which are increasingly being adopted in AI environments. This enables the drives to deliver stable, high performance even in high-density deployments involving equipment with significant heat generation, such as AI servers.

In summary, the CM Series is a core component that underpins the high-bandwidth data transfer essential for next-generation inference AI systems.



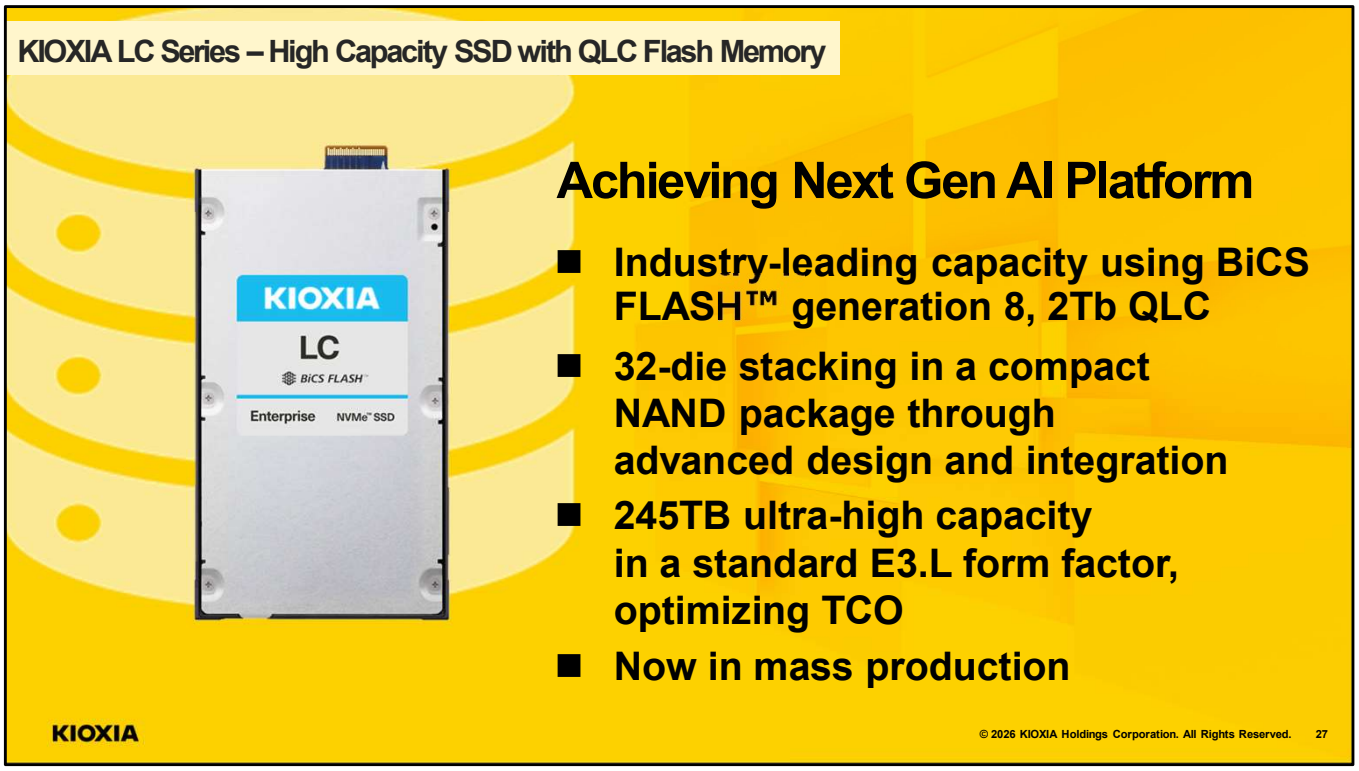
On the other hand, the proliferation of agentic AI—characterized by a dramatic increase in the number of iterative inferences—generates extremely granular and highly frequent data access. In this domain, further improvements in latency and IO (Input/Output) performance are critical.

To address this, we are undertaking a performance innovation through a novel architecture that transcends conventional SSD technology.
Meeting these exacting needs is the GP Series, a high-performance SSD powered by XL-FLASH™.

The GP Series is engineered specifically for direct integration with GPUs, fully supporting NVIDIA Storage-Next™ initiative—a framework designed to seamlessly extend GPU-accessible memory. By combining our proprietary XL-FLASH™ (a specialized NAND flash memory optimized for ultra-low latency) with a custom SoC capable of handling data access at an incredibly fine 512-byte granularity, we have achieved a major breakthrough.
This combination delivers both exceptionally low latency and the high IOPS performance required by next-generation AI systems, which demand upwards of 100 million IOPS.

Crucially, this performance enables the SSD to function as an effective extension and complement to HBM. By mitigating memory capacity constraints, we are paving the way for entirely new AI system architectures.

Ultimately, the GP Series is the core product driving the 'low-latency, high-IOPS data access' essential for the future of inference AI systems.



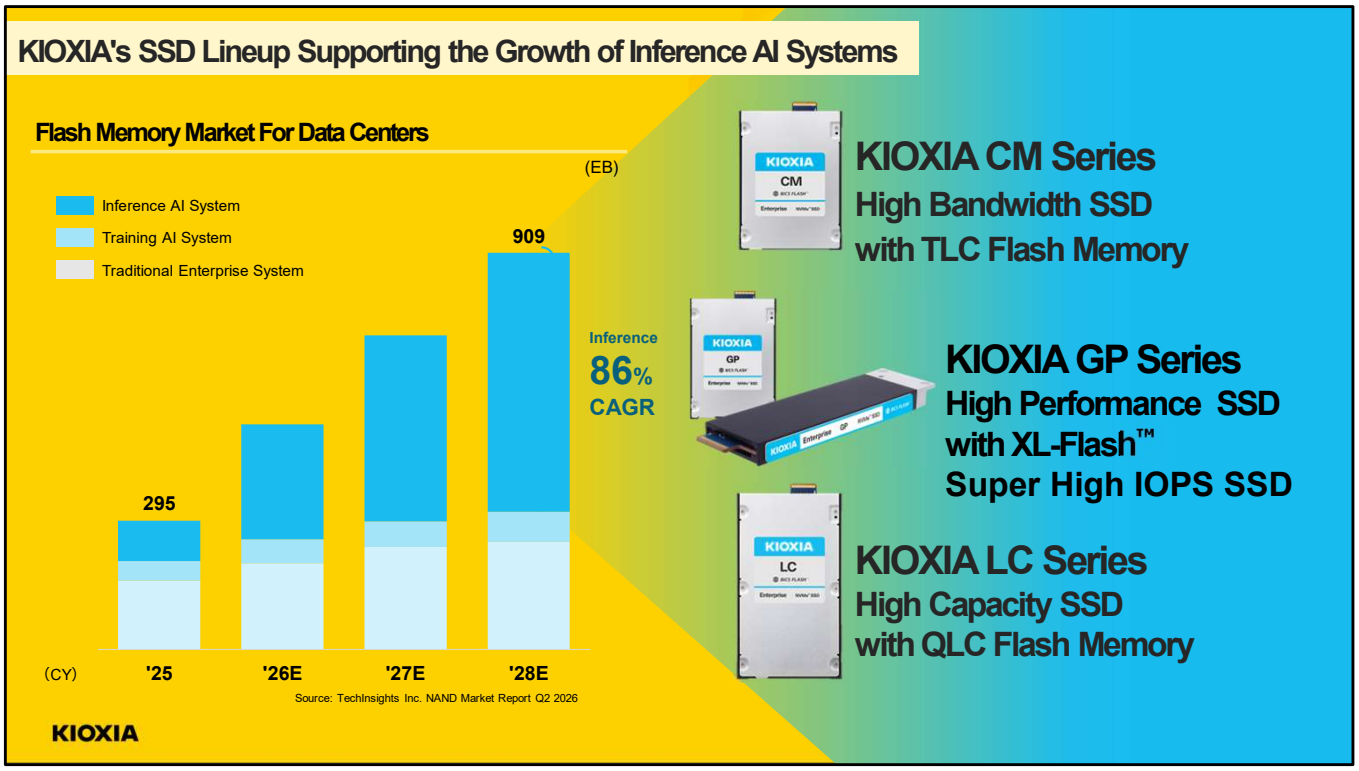
Furthermore, the advancement of agentic AI presents another challenge that cannot be ignored: the explosive growth in data volumes. As inference processes become more multi-staged and prolonged, and the volume of generated data itself increases exponentially, there is a growing requirement for the overall system to efficiently store far larger amounts of data.

Addressing this specific need is the LC Series, our high-capacity SSD equipped with QLC flash memory.

The LC Series utilizes the 2Tb QLC of our 8th-generation BiCS FLASH™. Leveraging highly advanced packaging technology, we successfully stack 32 memory chips within a single, compact package.
This enables an industry-leading capacity of 245TB within the standard E3.L form factor. We have now commenced mass production shipments of this product, and it is already being deployed in ultra-high-capacity servers.

This remarkable increase in data density allows for significant storage expansion within limited physical space, directly helping to improve efficiency across entire data centers and to optimize the Total Cost of Ownership. Moreover, it serves as an ideal foundational infrastructure for cost-effectively storing the expanding massive datasets and cold data typical of inference AI systems.

In short, the LC Series provides the foundational storage capacity required to support the continued scaling of AI infrastructure.



As Yaguchi-san explained earlier, we are already witnessing a tangible expansion in demand within the flash memory market, driven primarily by inference AI systems. In particular, inference AI systems designed for agentic AI architectures handle an exponentially growing volume of data, including KV caches, RAG vector data, and inference histories.

To address this rapidly evolving and expanding market, we offer a comprehensive portfolio: the CM Series for 'high-bandwidth data transfer,' the GP Series for 'ultra-low latency and high-IOPS performance,' and the LC Series for 'ultra-high-capacity data storage.' Through this strategic alignment, we are actively driving the enhancement of performance and scalability in inference AI systems.

With the continuous advancement of AI systems, storage has evolved from a simple data repository into a critical component that dictates the performance of the entire system. Moving forward, in addition to developing cutting-edge NAND flash memory and SSD technologies, we are strengthening our total solutions capabilities, including the seamless integration of storage and memory.
Through these initiatives, we will reinforce our competitive edge in the next-generation AI infrastructure market and drive our mid- to long-term growth.

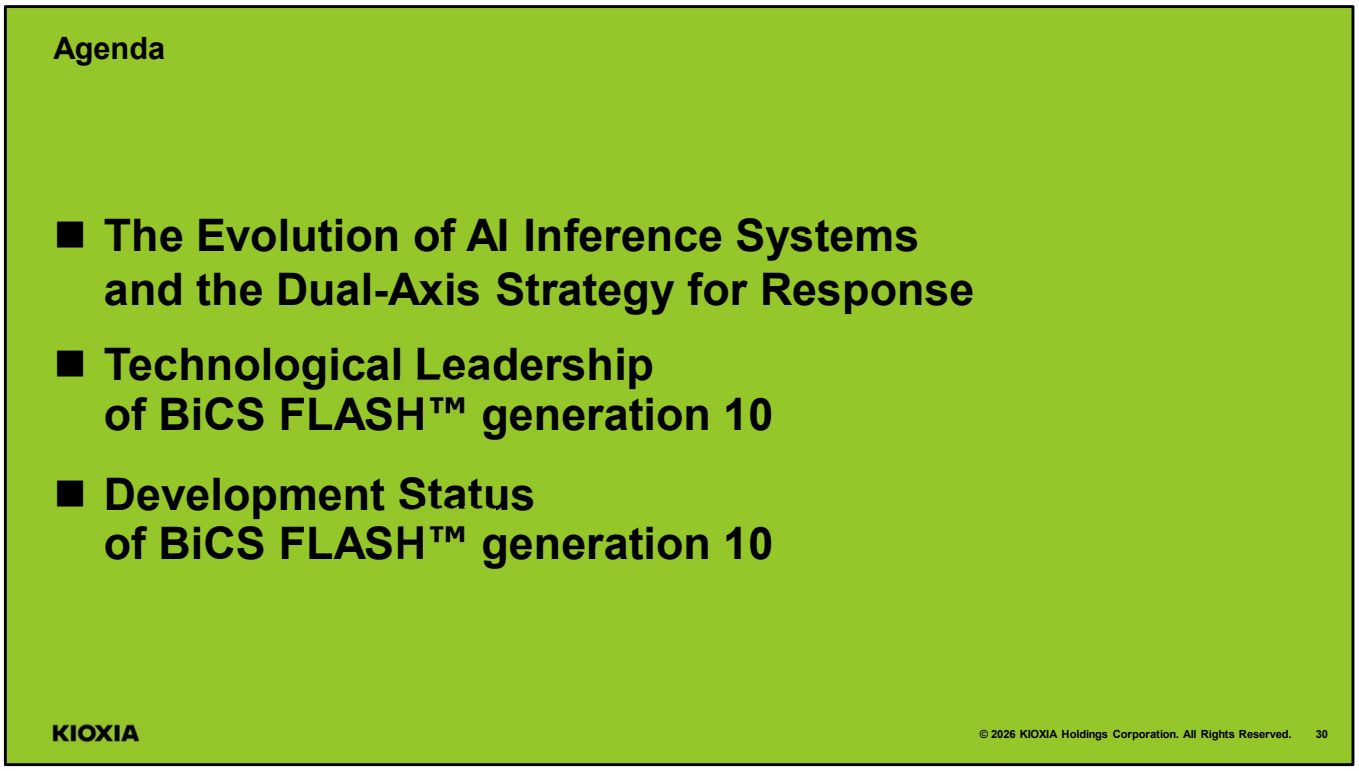
Next, Inoue-san, Head of our Memory Division, will discuss our memory strategy.

Advancing Technology Leadership with BiCS FLASH™ generation 10

Atsushi Inoue
Executive Officer (Vice President of Memory Division)

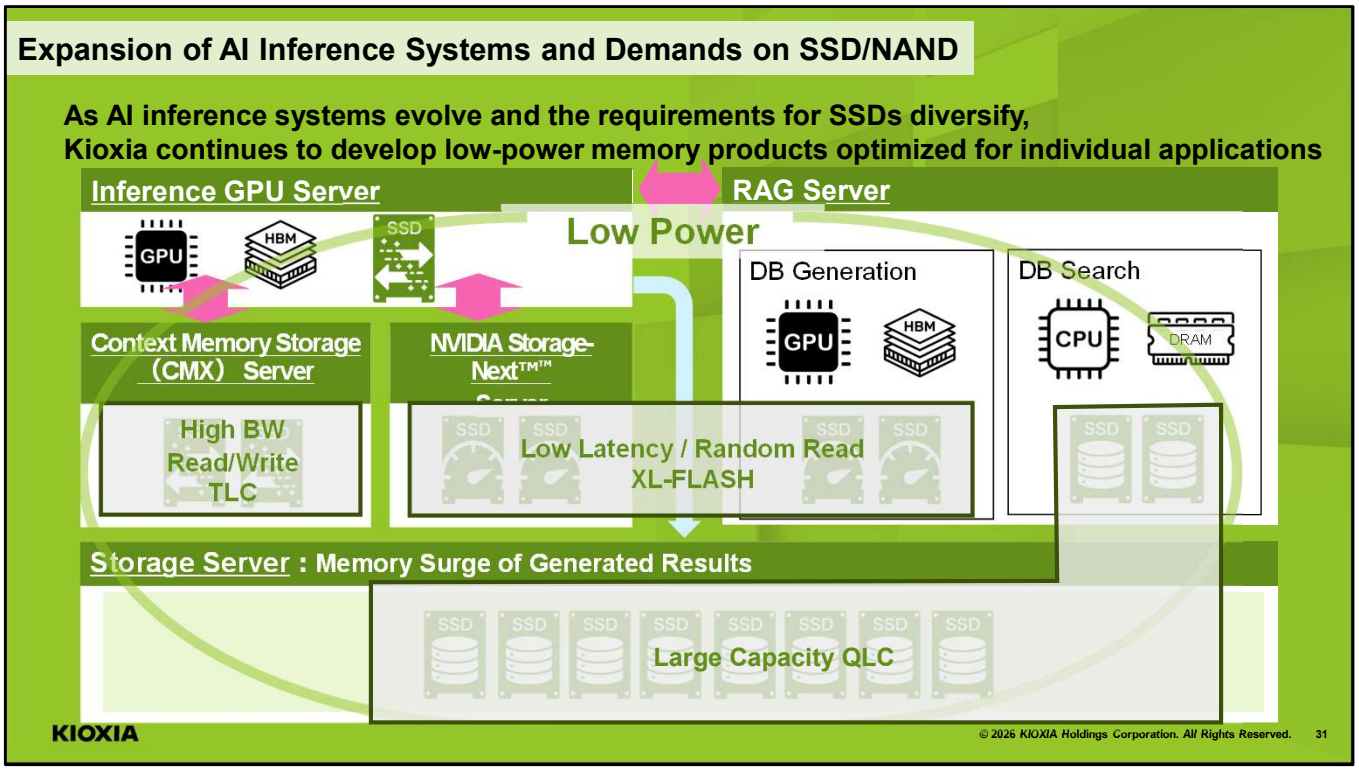
I'm Atsushi Inoue, head of our Memory Business Unit.

I would like to outline our BiCS FLASH™ development strategy for the AI era, focusing specifically on the latest developments of our 10th-generation BiCS FLASH™.



Here is the agenda for today's presentation.

First, I will discuss our NAND development strategy in response to the evolution of AI inference systems.
Next, I will highlight the technological leadership of our cutting-edge 10th-generation BiCS FLASH™.
Finally, I will provide an update on the progress of our development of that 10th generation.



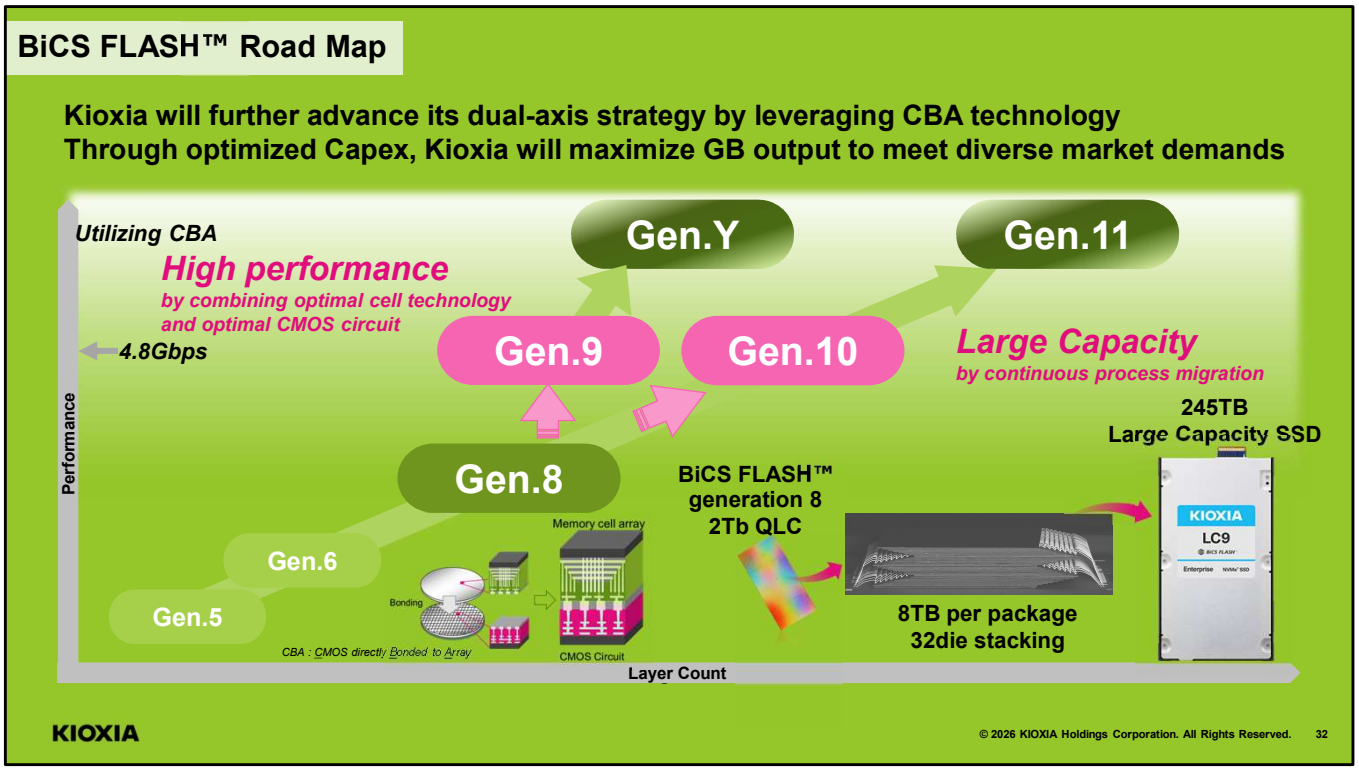
I'll start by focusing on our memory development strategy. As noted in the earlier session on SSD business strategy, the evolution of generative AI is diversifying customer requirements for both SSDs and NAND flash memory. To address the rapidly expanding inference market, we are advancing our product development with a focus on three core areas.

First is addressing the need for greater efficiency in inference processing. For the Context Memory Storage shown on the left, KV Cache—which stores previous calculation results—must be swapped with HBM at high speeds. This requires high-bandwidth read and write performance. In this domain, TLC NAND is the optimal solution.

Second is meeting the demand for improved response accuracy. Processes such as Vector Database generation on RAG servers, shown in the center-right of the slide, demand low latency and exceptional random read performance. Here, SLC- or MLC-based XL-FLASH is the optimal solution. Positioned as an HBM extension, this technology will be deployed in our Super High-Performance GP Series SSDs, which deliver exceptional IOPS.

Third is managing the explosive volume of data generated by AI. We are driving the development of high-capacity QLC NAND tailored for high-capacity SSDs. These serve as the primary storage medium for the exponential surge of data generated by RAG server database queries and agentic AI.

The common requirement across all three of these approaches is performance per watt – in other words, power efficiency. In the data infrastructure of the AI era, achieving low power consumption to boost power efficiency is of paramount importance.
As we develop BiCS FLASH™, our 3D flash memory, our primary focus is to deliver high capacity, high performance, and high power efficiency/low power consumption.
This builds upon the foundational value of cost competitiveness that the market has historically demanded.



Next, I will outline our path to achieving this high capacity and high performance, guided by our BiCS FLASH™ roadmap.

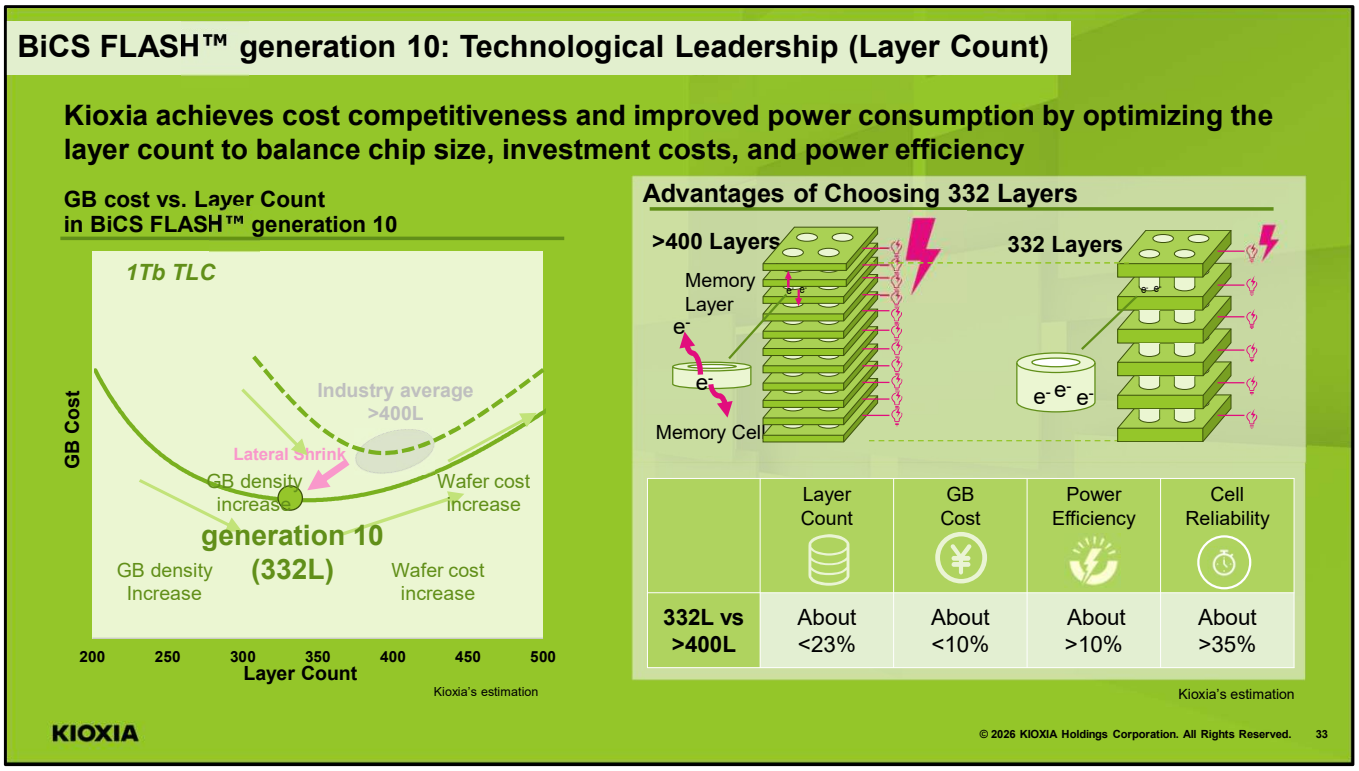
Our 8th-generation BiCS FLASH™ serves as the starting point for our future product development roadmap. A defining feature of the 8th generation is its adoption of CBA (CMOS Directly Bonded to Array) technology.
This optimizes thermal processing by separately manufacturing the memory cell wafer and the CMOS circuit wafer before bonding them together. By enabling industry-leading performance, capacity, and power efficiency, this technology has earned exceptionally high praise from our customers. We are currently scaling up mass production for numerous projects, and by the end of fiscal 2026, we plan to transition approximately 80% of Kioxia's gigabyte output to this 8th generation.

Additionally, with the 8th generation, we became the first in the industry to establish the technology that allows 32 dies to be stacked within a single package. This breakthrough has enabled us to achieve a massive 8TB capacity in a single, small-form-factor BGA package.
This high-density packaging is key to delivering our 245TB LC9 SSD for the generative AI market.
Building upon this 8th-generation foundation, and to address the diverse needs of the AI era, last year we introduced a dual-axis strategy for our product development.

The first axis of development, shown extending to the upper right of the graph, is the pursuit of high capacity and high density. For our 10th-generation BiCS FLASH™ and the subsequent 11th generation, we will continue to combine increased vertical stacking with lateral scaling. This will deliver high bit density and massive capacity products tailored primarily for the Enterprise and Data Center SSD markets.

The second axis of development is the pursuit of high performance. For our 9th-generation BiCS FLASH™ and the subsequent Generation Y, we will combine cell technology featuring an optimized layer count with the latest CMOS technology to achieve exceptional performance. This will primarily target the needs of the AI-enabled PC and mobile device markets.

Today, within this dual-axis strategy, I will focus specifically on our 10th-generation BiCS FLASH™. This latest development is primarily targeted at the next-generation AI inference market.



Over the next two slides, I will explain the technological leadership of our 10th-generation BiCS FLASH™.

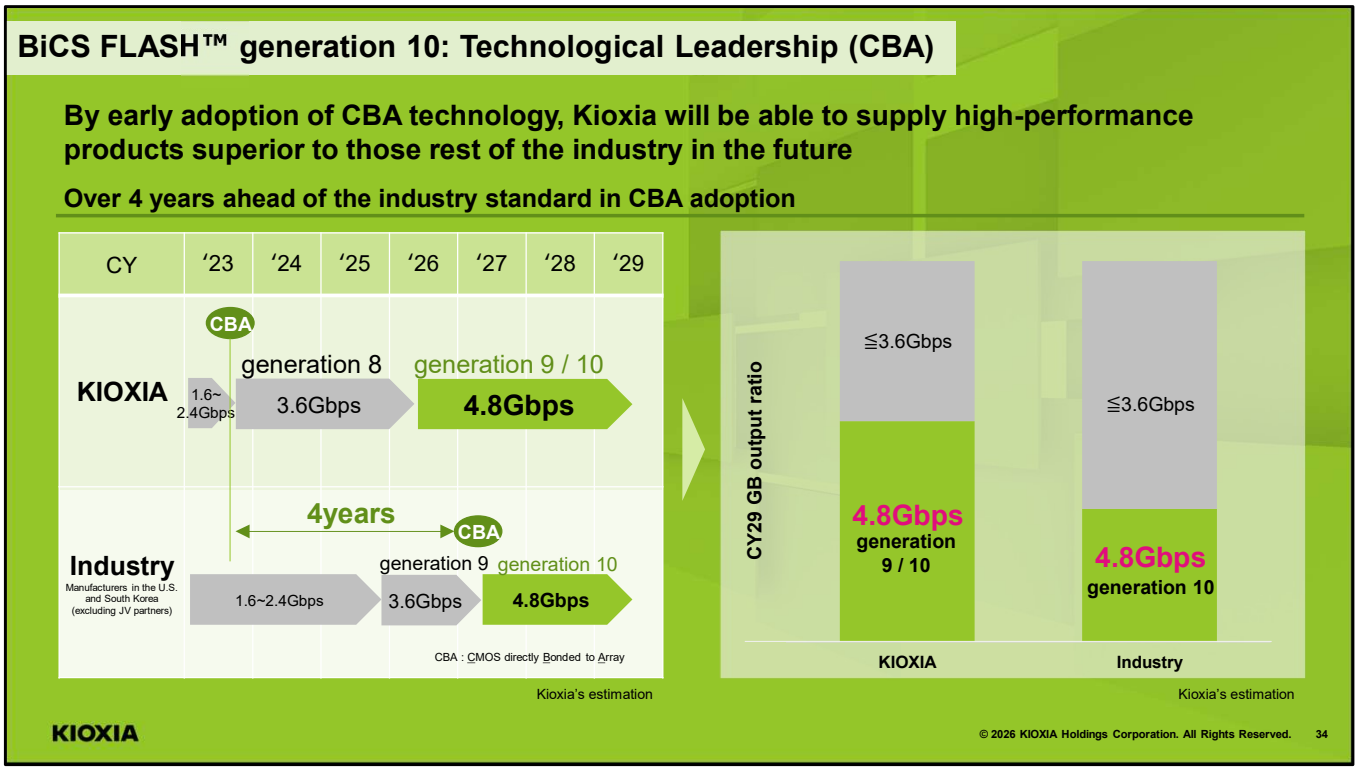
First, this section addresses the relationship between layer count, cost per gigabyte (GB cost), reliability, and power efficiency.
As illustrated in the diagram on the left, conventional 3D flash memory has traditionally relied on increasing the vertical layer count to enhance bit density and achieve cost reductions. However, excessive stacking requires substantial capital expenditures and additional manufacturing steps, which ultimately increases wafer costs.
For the 10th generation, as with the 8th generation, cost reduction is not pursued solely through increased vertical stacking. By incorporating lateral scaling technology in a well-balanced manner, the GB cost has been optimized with a lower layer count than the industry average.

Furthermore, excessive vertical stacking introduces two performance-related concerns.
The first is the degradation of power efficiency, and the second is the decrease in reliability. As shown in the structure on the left, with extreme stacking of 400 layers or more, the number of memory layers activated during data read and write operations is higher than a 332-layer architecture, which tends to increase power consumption.

The second concern involves the reliability of the memory cells. To stack 400 or more layers, the individual memory layers must be made thinner. This reduces the electrical charge that each cell can retain, thereby degrading memory cell reliability. For the 10th generation, selecting the optimized 332-layer architecture has successfully improved power efficiency and secured memory cell reliability.

The table on the bottom right compares our 332-layer 10th-generation product with a case where a product is developed with 400 layers or more. By limiting the layer count to 332, estimates show that the GB cost is approximately 10% lower. Additionally, it achieves a 10% advantage in power efficiency and a 35% advantage in memory cell reliability.

In conclusion, rather than simply pursuing a higher layer count, the 332-layer 10th-generation BiCS FLASH™ has been optimized from multiple perspectives, including GB cost, memory cell reliability, and power efficiency. Consequently, this architecture has produced a highly competitive product in the market.

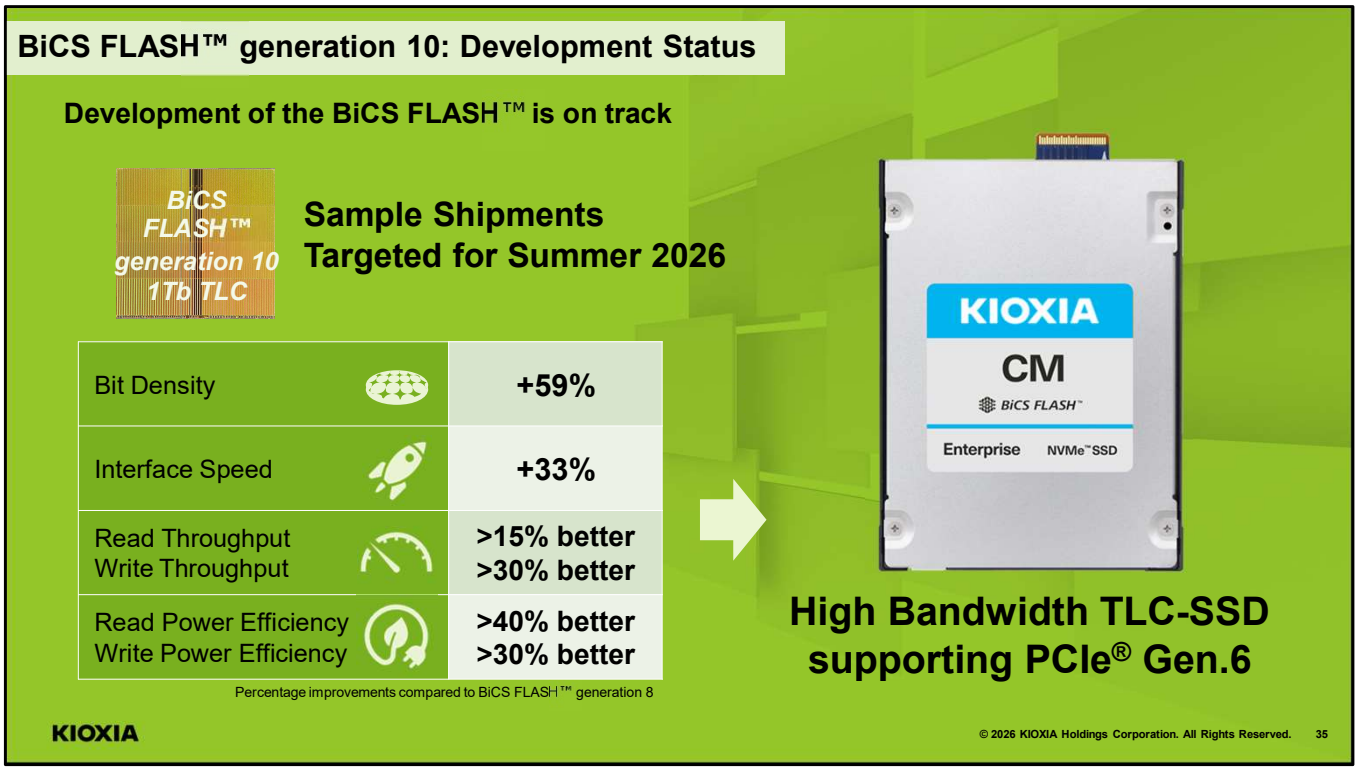


The second technological leadership is the CMOS Directly Bonded to Array (CBA) technology.

By inheriting the CBA technology—which was introduced early in the 8th generation—and applying it to the 10th generation, we are able to maintain our industry-wide advantage in interface performance, a key performance indicator, following the success of the 8th generation.

As shown in the diagram on the left, CBA technology was introduced beginning with the 8th-generation BiCS FLASH™, representing a market launch approximately four years ahead of the industry average. Consequently, an interface performance of 3.6 Gbps was achieved two years ahead of the rest of industry. Similarly, an interface performance of 4.8 Gbps is expected to be achieved approximately one year ahead of the industry by implementing it in the 9th and 10th generations.

Our deployment of high-speed interface products from an early stage effectively differentiates our product portfolio. As illustrated in the diagram on the right, by 2029, the proportion of our products supporting 4.8 Gbps within our product mix is projected to be approximately 20% higher than the industry average. This will enable us to precisely address the requirements of growth markets, such as high-performance SSDs supporting PCIe Gen. 6 and Gen. 7 that demand high bandwidth for future generative AI markets, as well as high-speed mobile applications.



Finally, I would like to update you on the current development status of our 10th-generation BiCS FLASH™.

Development of the 10th-generation BiCS FLASH™ 1Tb TLC product is progressing smoothly. We are currently conducting reliability testing—the final phase of development—and are targeting to commence sample shipments this summer.

As shown in the table on the left, we have confirmed steady performance improvements across key metrics compared to our 8th-generation products. Specifically, bit density has improved by 59%, interface speed by 33%, data read throughput by over 15%, and write throughput by over 30%.

Furthermore, regarding power efficiency—which we projected to improve by 10% at last year's Corporate Strategy Meeting—we have achieved substantial gains, surpassing a 40% improvement in read operations and a 30% improvement in write operations.

The 10th-generation 1 Tb TLC BiCS FLASH™ will be deployed in high-performance, high-bandwidth SSD products, including Kioxia's next-generation "CM Series" SSDs.

With this highly competitive NAND product that will support the ongoing evolution of AI, Kioxia is positioned to precisely meet the demands of the market.

Financial Strategy to Support Our Growth

Yoshihiko Kawamura, Chief Financial Officer

I’m Yoshihiko Kawamura, Chief Financial Officer.
I’m going to outline our financial strategy, a strategy designed to support our growth.

Agenda

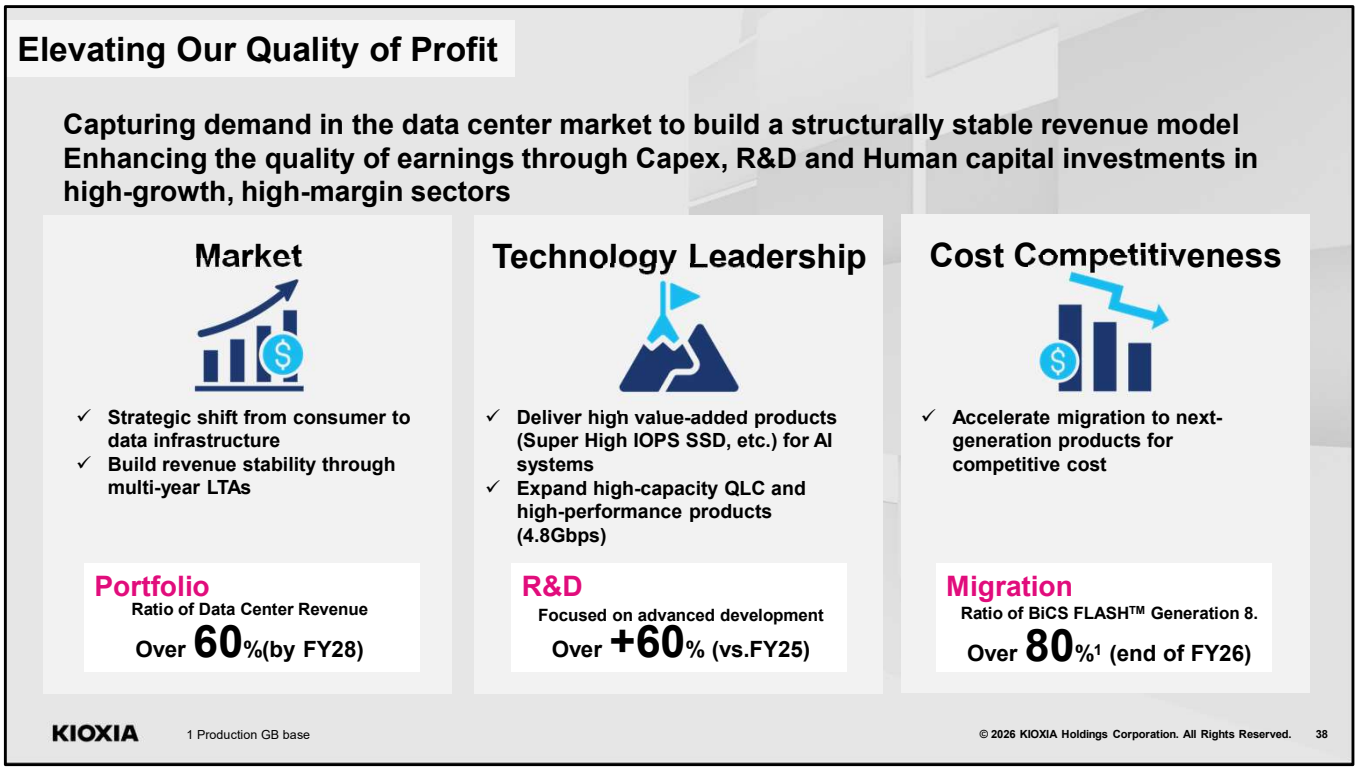
- **Elevating Our Quality of Profit**
- **Structural Business Transformation**
- **Achieving Best-in-Class Capital Efficiency**
- **Maximizing Cash Generation and Strengthening Financial Position**
- **Capital Allocation and Shareholder Return Frameworks**

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I will cover the following five topics today:

First, how we will further enhance our profit-generating capabilities.
Second, how we have significantly transformed our business and revenue structures.
Third, the various initiatives we are taking to improve our capital efficiency.
Fourth, how we have maximized cash generation and subsequently improved our financial position – specifically, by substantially strengthening our balance sheet.
And finally, how we approach capital allocation and shareholder returns.



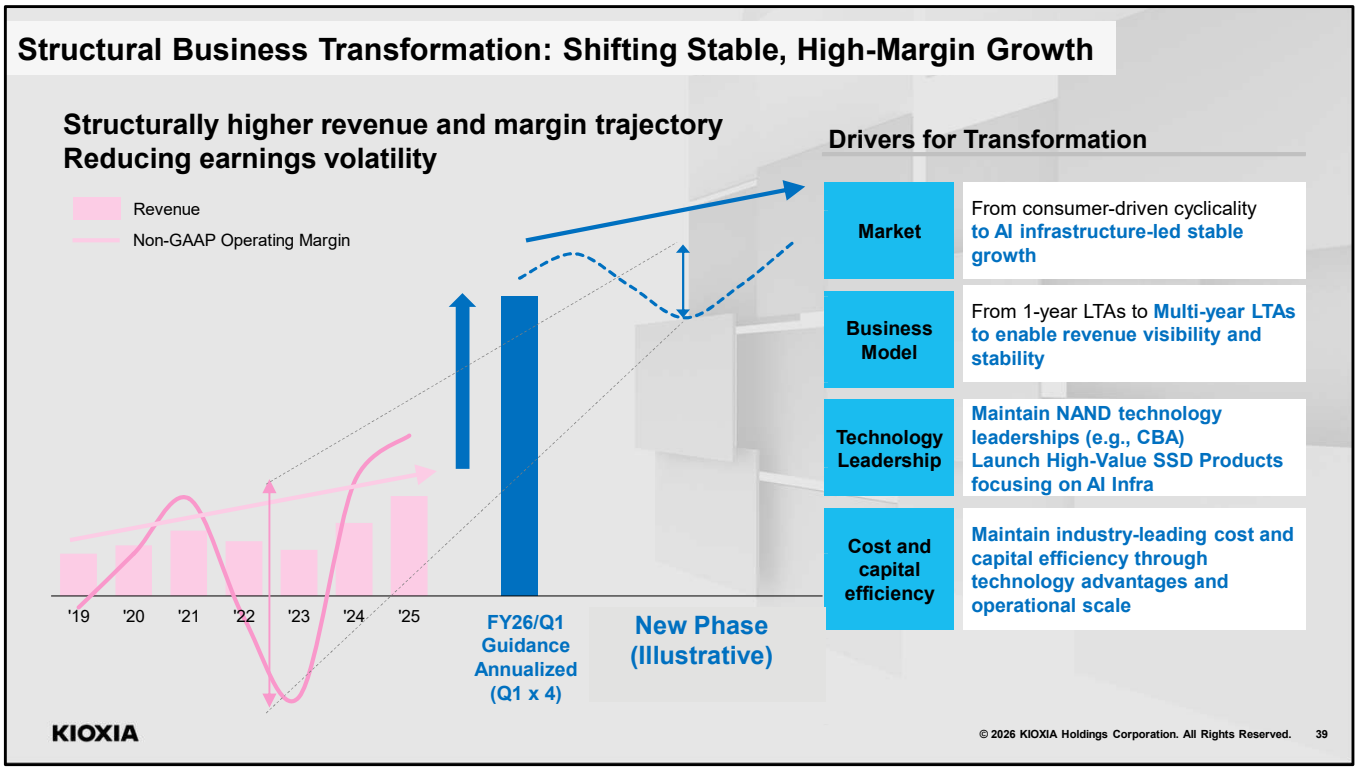
Regarding our first main topic (enhancing our profit-generating capabilities): by accurately capturing the demand for data centers, we are transitioning to a structurally more stable revenue model.
This marks a strategic shift from our traditional, cyclical, consumer-centric business to a more resilient model focused on the industrial and enterprise sectors. We will continue to make focused investments in these high-growth, high-margin areas.
Specifically, we have identified three priority areas for investment.

The first area is our investment in capital expenditure (Capex), research and development, and human capital. Through these initiatives, we aim to further enhance the quality of our earnings. We define high-quality earnings as revenue generated by leveraging new technologies to bring innovative products to market, or by pioneering entirely new markets.

Take a look at the left side of the slide.
The market has undergone a significant transformation. We are strategically expanding our product offerings for data centers while stabilizing our revenue structure through multi-year LTAs. On a portfolio basis, we plan to increase the share of our overall revenues delivered by data center products to over 60% by FY2028.

Next is technological leadership. We plan to introduce high value-added products for AI systems, including the launch of Super High IOPS SSDs and other new products. We will also expand our high-capacity QLC and high-performance 4.8Gbps product lines. Furthermore, we are boosting our investments in R&D, focusing primarily on cutting-edge development, and we plan to increase this by over 60% compared to FY2025.

Third, we are accelerating the migration to next-generation products that offer greater cost competitiveness. Specifically, we are aiming for our 8th-generation BiCS FLASH™ to represent over 80% of our total gigabyte-based shipments by the end of fiscal year 2026.



Now, I would like to explain the structural transformation of our revenue and profit. Please look at the charts on the left. The left half covers the period from FY2019 to FY2025, with the orange bars representing revenue and the line graph showing our non-GAAP operating margin. As you can see, this period was characterized by severe cyclical volatility.

However, the blue bar and line chart in the middle indicate a clear shift away from this extreme volatility and show that our overall revenues have grown significantly. For visual reference, this blue bar represents an annualized figure, calculated by simply multiplying our FY2026 Q1 guidance—announced this May—by four.

We anticipate that this trend will continue, which is why we have illustrated our projected growth trajectory with the upward-sloping blue arrow. While we expect the market to remain cyclical in the future, you can see our overall growth curve has shifted upward. As a result, when factoring in both the cyclicality and this upward shift, you can see that the troughs have become considerably shallower.

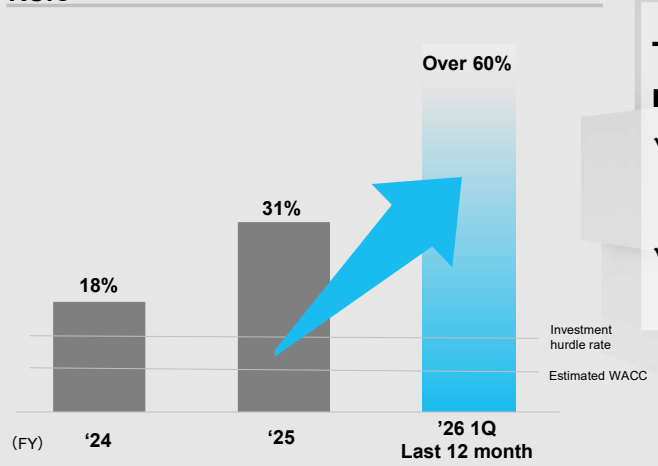
On the right, we have outlined the four key drivers behind our structural transformation.
First, regarding the market, we are shifting from a consumer-driven cyclical model to one of stable growth led by demand for AI infrastructure.

Second, our business model. We are moving from one-year LTAs to multi-year LTAs to enable greater revenue visibility and stability, which in turn allows for more proactive capital investment.
Third, technological leadership. We will maintain our competitive advantage in NAND technology—such as through our CBA technology—and will continue to launch a series of high-value SSD products aimed at the AI infrastructure market.

Fourth, cost and capital efficiency. We will maintain our industry-leading cost and capital efficiencies through our technological advantages and operational scale.

Achieving Best-in-Class Capital Efficiency

Improve asset efficiency through strict investment criteria and structurally shift to a high ROIC model



Target best-in-class ROIC among manufacturing companies

- ✓ Concentrate Capex, R&D and Human Capital investments in high-growth, high-margin sectors
- ✓ Strict investment discipline: fund only projects exceeding hurdle rate

Significant improvement in EPS and FCF per share

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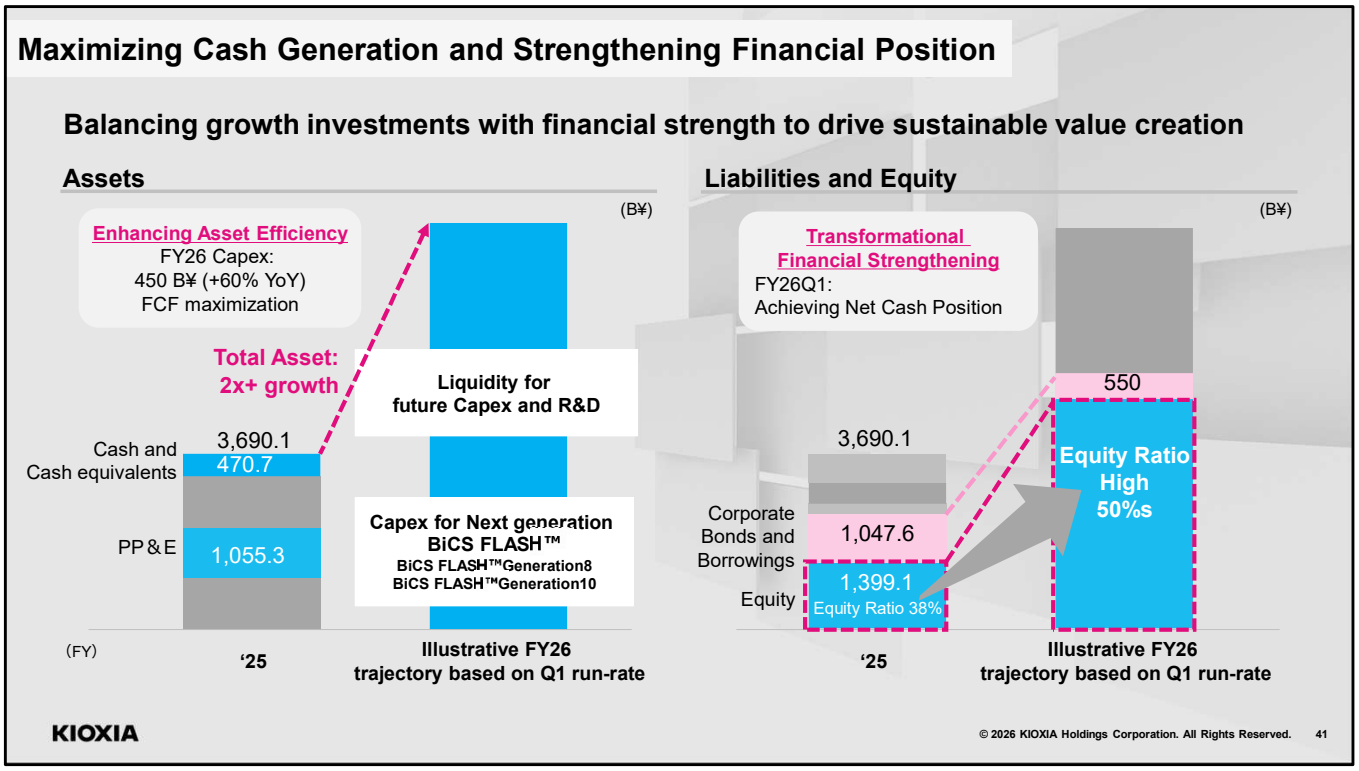
*ROIC= NOPAT / (Equity+ Net Debt)

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Through these initiatives, we aim to achieve industry-leading levels of capital efficiency. By applying disciplined investment criteria, we will further enhance both our investment and asset efficiency, driving our transition to a structurally high ROIC (Return on Invested Capital) model.

Please take a look at the bar chart in the left illustrating our ROIC progression. Starting from the left, you'll see our ROIC grew from 18% in FY2024 to 31% in FY2025. For the 12-month period from Q2 of FY2025 to Q1 of FY2026, it exceeded 60%.
We believe this represents one of the highest ROIC levels not only within our industry, but across the entire Japanese manufacturing sector.

To sustain this top-tier ROIC, as mentioned earlier we will continue our focused investments in Capex, R&D, and human capital.
Even with abundant cash generation, we will observe strict criteria and execute only highly disciplined investment decisions. Through these efforts, we aim to significantly increase both our earnings per share and free cash flow per share.

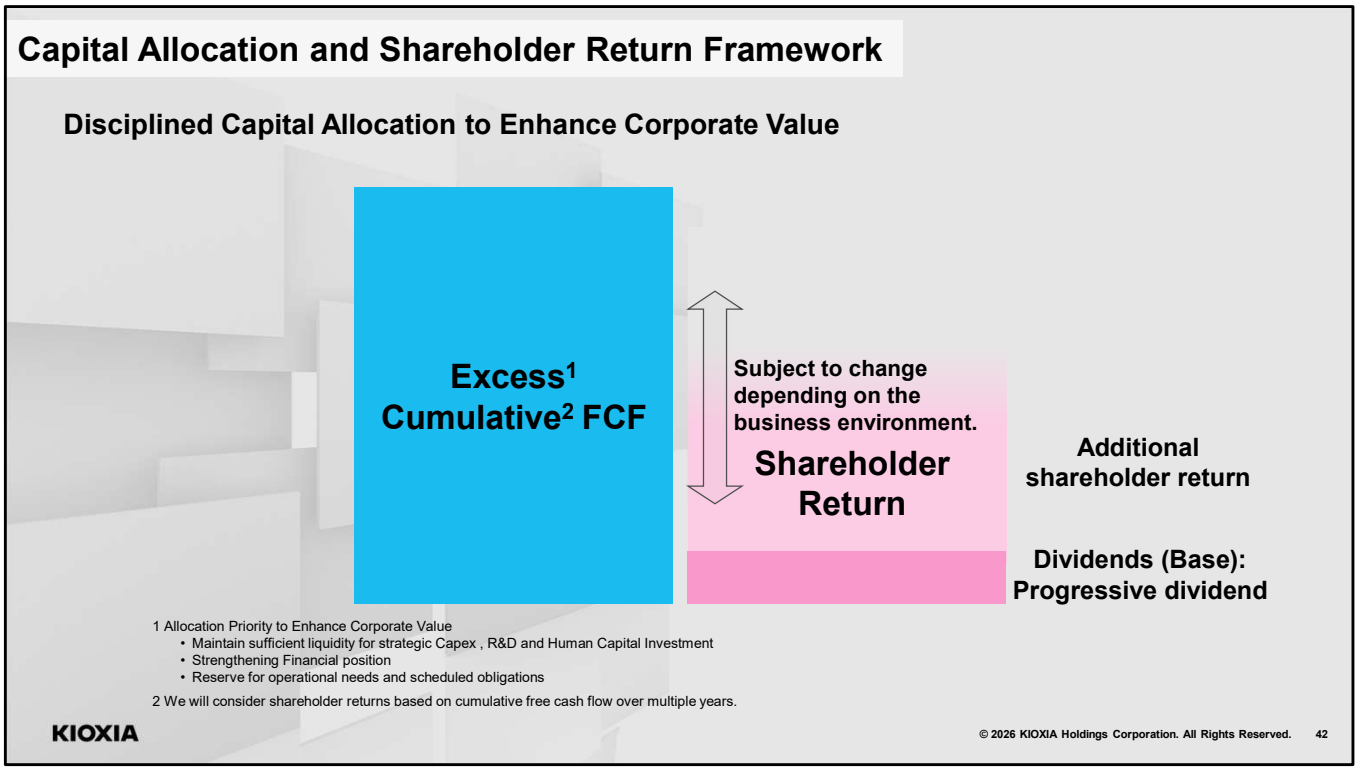


This slide illustrates the transformation of our balance sheet.
Our goal is to maximize cash generation and improve our overall financial position, enabling us to simultaneous pursue investments in growth and in areas that will improve our financial health. While these two objectives are often seen as a trade-off, we are committed to achieving both in order to further boost our corporate value.

The chart on the left shows our assets, while the chart on the right represents our liabilities and equity. Let's start with the assets. The bar on the far left shows our position in FY2025. The one next to it does not include detailed figures as they are not yet finalized, but it depicts our projected balance sheet as of the end of FY2026. In FY2025, our total assets stood at 3.6901 trillion yen.

Based on our current projections, we expect this figure to more than double by the end of the fiscal year, driven by two factors. First, our assets will grow as we rapidly accelerate our capital expenditure, or Capex. Second, we will secure the level of liquidity required to ensure stable long-term operations.

Now, turning to liabilities and equity and the chart on the right. Naturally, these will also increase, but the key takeaway is the significant strengthening of our equity ratio. As you can see, our equity ratio is projected to rise from 38% in FY2025 to the high 50s—approaching 60%. This will create a truly robust balance sheet and a rock-solid business foundation. Ultimately, we believe this strong financial base will serve as the basis for enhancing shareholder returns.



Turning to capital allocation and shareholder returns, we are currently evaluating various approaches to return the cash we've accumulated to our shareholders.

The "Excess Free Cash Flow" shown on this slide represents the net free cash flow remaining after prioritizing liquidity and future investments in growth. We intend to proactively return this surplus cash to our shareholders.

While we cannot share specific details at this time regarding the exact timing or payout ratios for dividends and share buybacks, our fundamental principle is to allocate this net free cash flow into two main areas.

The first area is further investments in growth, such as investments to advance AI memory solutions. The second area, the remaining portion, will be allocated to shareholder returns.

Under our basic framework, we target a benchmark of allocating approximately 50% of our surplus free cash flow to shareholder returns. So for example, if 50% is utilized for growth investments, the other 50% would be returned to shareholders.

However, the actual allocation ratio between growth investments and shareholder returns will remain highly flexible, and will depend on prevailing business conditions and our financial status. If significant M&A opportunities arise, the proportion allocated to shareholder returns may decrease. Conversely, if there are few or no opportunities to invest in growth, the portion available for shareholder returns will increase. If circumstances allow, we are prepared to allocate a substantial majority of our surplus cash to shareholder returns.

Thank you very much for your attention.


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